Company Registration No. 0769170

TRAVELODGE HOTELS LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2024

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TRAVELODGE HOTELS LIMITED

OUR PURPOSE AND CONTENTS

Our Purpose
At Travelodge, our purpose is to help people to go and do their thing, by Being the Brilliant Base.

Being the Brilliant Base has our customers and colleagues at the heart of what we do. For our customers that means providing a well-priced, well located stay they can trust, and for our colleagues it means creating opportunities to learn more, earn more and belong. We care about the impact of our decisions and sustainability is integral to our business strategy and runs through everything that we do.

Established in 1985, Travelodge is now one of the leading platforms in the UK and is the second largest hotel brand in the UK with 609 hotels and approximately 47,000 guest bedrooms, right across the UK as well as in Ireland and Spain.

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TRAVELODGE HOTELS LIMITED

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Martin Robinson
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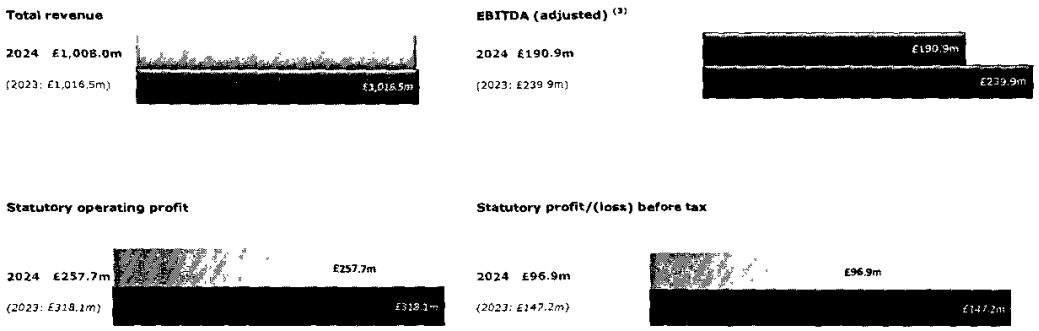
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Highlights



2024 Performance Headlines

- Total revenue down 0.8% to £1,008.0m (2023: £1016.5m)
- *Occupancy*[1] *up 0.5pts to 84.2% (2023: 83.8%)*
- Average room rate[1] down 2.9% at £68.47 (2023: £70.53)
- RevPAR[1] down 2.5% to £57.65 (2023: £59.14)
- RevPAR performance 1.5 pts below the competitive segment [2] vs 2023
- EBITDA (adjusted)[3] of £190.9m (2023: £239.9m)
- Statutory Operating Profit of £257.7m (2023: £318.1m)
- Statutory Profit/(loss) before tax of £96.9m (2023: £147.2m)
- Cash of £221.5m at 31 December 2024 (2023: £190.1m)
- Rating by credit agency B3/B (2023: B3/B-)
- 5 new hotels opened in the UK (2023: 4)
- *Total network 609 hotels and over 47,000 rooms (2023: 592 hotels and 45,347 rooms)*
- TripAdvisor 4 star ratings 562 (2023: 545)

1. Revenue per available room (computed as product of the average room rate for a period multiplied by the occupancy for that period), average room rate and occupancy on a UK like-for-like basis for the management accounting period 28 December 2023 to 1 January 2025 (29 December 2022 to 27 December 2023 for the year 2023).
2. *Our competitive segment is the Midscale and Economy Sector (MS&E) of the UK hotel market as reported by Smith Travel Research (STR), an* independent hotel research provider, providing aggregate benchmarking information on the UK and other hotel market performance.
3. EBITDA (adjusted) = Earnings before interest, tax, depreciation and amortisation and non-underlying items, on a pre-IFRS 16 basis, and before rent phasing adjustments. In this measure, the benefit of rent free periods agreed in the ordinary course of rent negotiation, are spread on a *straight line basis until the next rent review (normally five years from initial agreement). Non underlying items have been removed as they are* related to items that are considered to be significant in nature and quantum, and not in the normal course of business. The calculation for this measure is consistent with prior years. See APM glossary pages 61-67 for further details and statutory reconciliations.
4. Rent phasing adjustment = the adjustment so that the benefit of rent free periods is spread over the full remaining life of the lease. This is most *closely aligned with the accounting treatment for rent pre-IFRS 16. The calculation for this measure is consistent with prior years. See APM* glossary pages 61-67 for further details and statutory reconciliations.

Chief Executive's Review

Overview

The UK budget hotel market has proven resilience, benefiting from its domestic focus and value proposition as customers seek out value. Market demand in 2024 was impacted by several external factors, including fewer events, resulting in RevPAR for the UK MSE hotel segment declining slightly compared to 2023. The supply backdrop in the UK remains attractive with the continued reduction in independent hotel operators. Travelodge has identified significant growth opportunities in the UK and Spain, with development through our traditional leasehold model complemented by potential rebrands together with further freehold acquisition and development.

Travelodge delivered solid financial results in 2024, reflecting good levels of demand from our diverse range of business and leisure customers. We benefitted from our continued high occupancy levels but were impacted by softer market rates, particularly in London. Our industry-leading operating cost model, and continued focus on efficiencies helped us navigate industry wide cost pressures where possible, although we did see significant inflationary cost increases in line with the wider hospitality sector. We also continued to invest in the business to drive growth and quality, including our refit program and new brand advertising campaign, which attracted more customers to Travelodge's value proposition.

We continue to leverage technology to enhance our customer proposition, including increased levels of personalisation with a range of different room types and the option for customers to customise their stay through ancillaries, automated room checks and our first self-serve hotel trial. We also further optimised our operating model, completing a significant upgrade to our hotel management system and implementing a new workforce management system across hotels and head office. This provides greater access to information on pay and benefits on demand and improved management of work patterns.

Our refit programme, part of our most significant brand transformation to date, progressed well with c. 50% of the room estate refitted at the end of 2024. The next generation rooms, re-designed reception and upgraded bar café in our new 85 Bar Cafe design are delivering positive commercial and customer benefits. We will continue with this refit programme through 2025. Our multi-channel brand campaign "Better get a Travelodge" continued in 2024 following its launch in autumn 2023, helping to drive increased website visits, bookings and improved brand metrics.

In early 2024, the T&L Holdco group, of which Travelodge Hotels Limited is a wholly owned subsidiary, completed its first freehold acquisition with the acquisition of 66 Travelodge branded hotels from our largest landlord, LXi REIT plc, for £210m with support from our owner, GoldenTree Asset Management. These hotel assets were acquired by the Travelodge PropCo Group, which sits outside Travelodge OpCo Group. One of our subsidiaries completed the acquisition of a prime Central London office building near St Pauls Cathedral that we will convert to a 95-bed hotel, subject to planning permission.

Post year end, we exchanged contracts to acquire nine freehold hotels in the UK for an acquisition cost of £30.5m (excluding refit costs). These hotels will be acquired by a subsidiary of Travelodge Hotels Limited and will be converted to the Travelodge brand standard during 2025.

Following our successful refinancing in 2024 Travelodge's liquidity position remains strong, and we ended the year with cash of £221.5m. We will continue to review our financing arrangements and liquidity position to support business growth.

Whilst the current macroeconomic and political environment creates uncertainty, there are both opportunities and challenges. In quarter one, in our smallest trading quarter, we have seen market RevPAR declines vs 2024, impacted by a series of factors. The weakest performance has been in London, primarily rate driven and reflective of the market, including fewer events and weaker corporate demand. There is good regional demand, but with rate slightly below 2024 levels. Leisure demand remains robust, with several strongly performing events. Short lead demand has continued below 2024 levels in recent weeks, however, there are some encouraging indicators of future demand with good long lead event bookings and a robust events programme for 2025, as customers continue to prioritise spend on experiences, and there are positive indications of future construction demand.

Travelodge continues to benefit from the strong brand and our low cost, efficient operating model, with resilient demand from our diverse mix of business and leisure guests, attracted by our value proposition. Combined with our large and diversified network of well invested hotels, and increasing freehold participation, we are well positioned for the future and excited about our growth opportunities.

Chief Executive's Review (continued)

Performance Overview

Market demand in 2024 was impacted by several factors including travel disruption with several planned rail and tube strikes and severe weather warnings. There were also fewer sporting events, concerts and conferences. Overall, this resulted in a weaker rate environment, particularly in London with lower rates than last year. Regional performance remained more resilient with occupancy ahead of last year and rates broadly in-line with last year. Overall, the UK budget hotel market (MSE competitive segment) continues to exceed 2019 levels and outperform other market segments.

Travelodge's UK like-for-like RevPAR for the year ended 31 December 2024 was down (2.3)% compared to 2023. This was approximately (1.5)pts below the Smith Travel Research (STR) MSE benchmark competitive segment, reflecting the impact of our refit program and strong comparables. Travelodge's UK like-for-like RevPAR was approximately 2.7pts ahead of the STR MSE benchmark compared to 2019 levels.

We delivered good growth in food & beverage revenue, with a c.7.5% increase compared to 2023, benefitting from improved conversion rates, supported by the upgraded proposition as part of the refit programme and menu upgrades. There were limited price increases, ensuring we maintain our value proposition.

Our industry leading operating cost model and strong supplier relationships helped us control costs and deliver cost efficiencies. However, this only partially mitigated the impact of industry wide inflationary pressures, including significant increases in the National Living Wage, as well as the multi-year inflationary impact on our rent costs where a proportion of rent reviews are uncapped, due to the 5 yearly review cycle.

We continued to invest in the business to drive growth, quality and efficiencies. This included our multi-channel brand advertising campaign, which has positively impacted website visits and helped to drive improved brand metrics, including recognition and consideration. We also successfully upgraded our property management system, a combined additional investment of approximately £11m compared to the prior year. The prior year benefited c.£6m from favourable energy hedging at pre-energy crisis levels. Adjusting for these factors, comparable EBITDA decreased year on year from £233.9m to £201.7m, impacted by the high levels of cost inflation and weaker market demand. Reported EBITDA for the year was £190.9m (2023: £239.9m).

The T&L Holdco group successfully completed a refinancing in 2024, and Travelodge's liquidity position remains strong. We ended the year with a strong liquidity position, with cash of £221.5m which was predominantly driven by the EBITDA (adjusted) profit. We will keep our financing arrangements and strong cash position under review as we continue to support the growth of the business.

Recent Trading and Outlook

As we look towards 2025 the current macroeconomic environment creates uncertainty, but there are both opportunities and challenges. The UK MSE segment has proven resilience and continues to benefit from its domestic focus, business/leisure mix and value proposition as customers seek good value.

In quarter one, our smallest trading quarter (typically c. 20% of full year revenue), we have seen market RevPAR declines vs 2024, impacted by a series of factors, including severe weather warnings and planned transport strikes. The weakest performance has been in London, driven by rate and reflective of the current market trading environment, including fewer events. Corporate demand has been weaker, impacted by the reduction in business conferences and reduced levels of activity in sectors such as construction. The regions have performed better with good regional demand, but rate is slightly below 2024 levels. Leisure demand has been strongest and despite a drop in consumer confidence we have seen strong demand for leisure events, such as the recent Six Nations rugby games and Crufts. Overall, total revenues in the year to date are c. (4)% below 2024 levels.

We have continued to see solid demand across our broad range of business and leisure customers, maintaining our high occupancy levels, but overall booked revenue in the short-term is slightly below 2024 levels, and short lead demand has been below 2024 levels in recent weeks. There are also positive indications of future construction business demand. There are encouraging indicators of future demand, with good long lead event bookings as customers continue to prioritise spend on travel and experiences, and with more events currently announced for 2025 than there were in all of 2024. Our food & beverage business is performing well with both revenues and sales per sleeper ahead of 2024 levels, benefitting from the enhanced customer proposition as part of the refit, together with menu upgrades.

Chief Executive's Review (continued)

The UK market supply dynamics remain favourable with limited new supply in the short-term and the reduction in independent hotel operators. We remain cautiously optimistic about the future trading environment. As a reminder each one percentage point growth in RevPAR p.a. would be expected to impact Travelodge revenues by approximately £8-9m.

Our cost base is largely fixed, and we are focused on managing continued inflationary pressures, and taking action to mitigate where possible, including further in-sourcing, leveraging technology and intelligent automation and innovation. We plan to continue to make investments in growth, quality and efficiencies. The most significant drivers of our cost base are rent, payroll costs (including the National Living Wage and employer national insurance contributions) and energy.

Our single largest cost is rent. The majority of our leases contain either RPI or CPI based 5-yearly upwards only rent reviews. Approximately 35% of our leases (by value) now contain caps and collars on these rent reviews. The review pattern across all leases is spread broadly evenly over a 5-year period. We expect rent for Travelodge OpCo Group (Thame and London Limited) of between £270m and £280m in 2025, depending on the timing of new openings and inflation during 2025 (2024 c. £263m).

The National Living Wage will increase by 6.7% from April 2025, following the c. 10% increase in April 2024, increasing costs by c.£12m. In addition, the increase in employer National Insurance contributions, alongside a reduction in the threshold that employers start to pay National Insurance, is expected to increase costs by c.£9m. We estimate the combined impact of these wage cost changes to Travelodge in 2025 is c.£21m. Energy commodity costs are hedged, with 75% of Q1 2025 and 60% of summer 2025 currently hedged in line with our energy purchasing strategy, and we are not currently expecting a significant increase in energy costs in 2025.

Overall, we expect cost inflation of 5-6%, including project investments but excluding new hotels, in 2025.

Our capex investment in 2025 reflects the expected continuing strong underlying cash generation of the business. We expect to continue with a significant level of discretionary capex, including continuing the refit programme (£65m), investing in new hotel development and technology, as well as underlying health & safety, IT and maintenance spend. Total capex (excluding freehold hotel acquisition costs) is expected to be approximately £130m - £140m. We will continue to maintain appropriate levels of liquidity, balancing our growth ambitions with continued strong cash generation.

Looking ahead, Travelodge has exciting growth opportunities, although the challenging real estate market conditions persist, impacting the pace of UK leasehold development. We expect to open at least 15 new hotels in 2025, including five new UK leasehold hotels, which is lower than our typical levels of 15-20 new leasehold hotels per year, reflecting ongoing market challenges. Together with the nine hotels we exchanged contracts for post year-end to be rebranded as Travelodge.

There are increasing future growth opportunities, including potential further leasehold or freehold rebrand acquisitions, building on our strong track record of delivery. In addition, we see opportunities for further freehold change of use and new development acquisitions, building on the series of freehold acquisitions Travelodge made in 2024.

Overall Position

With our strong brand proposition, direct distribution model, resilient business and leisure customer demand, large and diversified network of well invested hotels and efficient operating model, we are well positioned for future growth. We continue to invest in our network to drive growth, quality and efficiencies and we remain confident in the medium-term prospects for budget hotels. We are excited about future growth opportunities for Travelodge.

Travelodge has made significant progress on its strategic priorities, including the customer proposition, brand campaign, revenue management and development.

We are focused on being the Brilliant Base, placing our customers and colleagues at the heart of our operations. For our customers, this means providing a well-priced, well located stay they can trust. For our colleagues, it means creating opportunities to learn more, earn more and belong. We care about the wider impact of our decisions and sustainability is integral to our business strategy and is considered through everything that we do.

Chief Executive's Review (continued)

Further information on strategic areas

For information on the operating model and strategic progress; financial performance; financial and sustainability information for the Company please refer to the Strategic Report in the T&L Holdco Limited 2024 accounts. The Company is now a wholly owned subsidiary of T&L Holdco Limited which is the most senior UK parent company preparing consolidated accounts for the Group. The Directors of this Company are also the only executive directors of T&L Holdco Limited and consider the strategy and risks relating to the Company within the Group framework while drawing on the advice and experience of the Group non- executive directors.

Governance and the Board

As described at Note 2 to the financial statements, the Company is a wholly owned subsidiary of Full Moon Holdco 7 Limited and of its ultimate UK parent, T&L Holdco Limited (the "Group").

The strategic direction of the Company is within the purview of the Group's Board and as a consequence a number of the strategic and governance statements within this annual report are from a Group perspective rather than at Company level.

There have been a number of changes to the composition and management of the Group in the year:

- On 2 January 2024, T&L Holdco Limited was formed to become the new parent company of the Travelodge Group, as part of the planned acquisition of 66 Travelodge-branded hotels from our largest landlord, LXi REIT plc.

- On 28 February 2024, a newly-formed property holding division of the Group (Travelodge PropCo Group) completed the acquisition of the 66 hotels for £210m and T&L Holdco Limited also acquired the existing Travelodge operating entities under Thame and London Limited (Travelodge OpCo Group) including Travelodge Hotels Limited as a wholly owned subsidiary of the OpCo Group.

- Following the acquisition, the non-executive directors of Thame and London Limited were appointed to the Board of the T&L Holdco Limited and resolved to establish Audit, Sustainability and Remuneration Committees with delegated authority in the relevant areas. The Board committees took over the work previously carried out by the equivalent Thame and London Limited committees. However, Thame and London Limited retains a separate Audit Committee to assist the Board of Thame and London Limited in overseeing the systems of internal control and risk management, and the external financial reporting, of Travelodge OpCo Group, including Travelodge Hotels Limited.

Travelodge Group is now headed by T&L Holdco Limited and consists of Travelodge OpCo Group (Thame and London Limited and its subsidiaries) and Travelodge PropCo Group, the newly formed property holding group.

Chief Financial Officer's Report

In my second year reporting performance for the Travelodge Group we have endured a more challenging external environment in the hospitality sector. Despite this, our results demonstrate our resilience and the strategic investment required to continue to drive the business forward. I remain confident in the long-term prospects and future opportunities available for Travelodge.

Company Financial Results

Revenue performance has been maintained in 2024, at £1,008.0m. New hotel revenues compensated for the comparable hotel decline observed in the market. We have seen softer market rate, particularly in London, which combined with our considered decision to accelerate the refit programme has impacted our revenue performance.
We have had a positive year in regard to hotel openings. We have opened 5 in 2024 (2023: 4) in the UK. The number of hotel rooms increased by 1% and our occupancy grew 0.4%pts to 84.2%, but our revenue growth was limited by competitive rates within our sector. We are a budget operator, providing a value product as a base to meet our customers' work and leisure travel needs. We continue to ensure that our rooms are priced appropriately for this operating model delivering a good value proposition for customers. Like-for-like UK RevPAR for the year was £57.62 (2.3% lower compared to 2023).

Group Financial Results	2024 £m	*2023 £m*	*Change* £m	*Change* %
Revenue	1,008.0	1,016.5	(8.5)	(0.8%)
EBITDA (adjusted)	**190.9**	**239.9**	**(49.0)**	**(20.4%)**
Underlying depreciation and amortisation	*(174.4)*	*(160.8)*	*(13.6)*	*8.5%*
Loss on disposal of fixed assets	*(10.2)*	*(5.0)*	*(5.2)*	*104.0%*
Rent payable adjustment	*261.8*	*249.5*	*12.3*	*4.9%*
Underlying Operating Profit	**268.1**	**323.6**	**(55.5)**	**(17.2%)**
Underlying Profit before Tax	**107.3**	**152.7**	**(45.4)**	**(29.7%)**
Non-Underlying items	(10.4)	(5.5)	(4.9)	89.1%
Profit before tax	**96.9**	**147.2**	**(50.3)**	**(34.2%)**

The majority of bookings in the budget sector occur close to the date of stay. Where we have bookings well ahead of the date of stay, these are usually driven by the desire to attend scheduled events. During 2024, the mid-scale and economy hotel sector in which we operate declined by 0.8%, impacted by a number of factors including poor weather and fewer events. Our occupancy rates grew by 0.5pts over the year and rate fell by 2.8% against 2023.

We demonstrated strong cost control during the year, limiting the growth in underlying Operating Expenses excluding rent to £29.1m (5.5%), whilst still investing in the business to meet our customers' needs. Higher occupancy levels naturally led to increases in our variable costs such as wages, and we increased our spend on marketing. Inflation in 2024 of 3.59% (RPI) added pressure to our cost base.

The largest single driver of increased underlying operating costs are our employee costs, which grew by 10.4% (£23.5m). The increase in the UK National Living Wage in April (c. £14m) was the main reason for the growth. Naturally, there were also increased costs to clean the additional rooms sold.

Investment in our brand, systems and hotel quality also contributed to the cost growth (c. £11m total increase in investment across marketing and systems). The continued "Better get a Travelodge" marketing campaign has driven increased customer awareness, the cost for which was in addition to our ongoing digital marketing investment in the year. The higher spend on systems secures a robust foundation for our business.

Funding, finance costs and income

We have made a commitment to keep our capital structure under review and balance utilisation of any excess cash balances between deleveraging, further investment in the business to support growth and repayment of the accrued interest on the investor loan. During the year, S&P re-confirmed the Travelodge Group credit rating of B with a stable outlook and Moody's upgraded the Travelodge OpCo Group outlook to positive and re-confirmed the credit rating of B3.

Cash flow

Despite the challenging trading environment and the significant additional investments in the business during 2024, we maintain a strong cash and cash equivalents of £221.5m at 31 December 2024 (2023: £190.1m), despite the additional investment in the business.

Under the 2023 RCF, the Group's covenant requirements (which apply if drawings under the RCF are £32m or more) are tested at the end of March, June, September and December to ensure that the leverage ratio (Net leverage to EBITDA) does not exceed 5.5:1. The RCF was not drawn during the year and the Group successfully operated within the parameters established by its lenders.

More information on the cash and cash equivalents movements for the Group of which the Company is the principal trading entity, can be found in the 2024 T&L Holdco Limited financial statements at Companies House.

Chief Financial Officer's Report (continued)

Balance Sheet

The Balance Sheet on page 30 shows the statutory disclosure of our Net Assets at the year end. Overall Net Assets of £372.1m, an increase of £97.1m at the end of 2023. The lease liability exceeds the right of use asset due to timing differences on the unwinding of the lease asset and lease liability, but the resulting net position, when combined with other assets and liabilities noted in the accounts, results in the overall net asset position for the Company.

We continue to invest in the business, including our accelerated refit programme, which has delivered good commercial and customer benefits. This materialised in our 2024 financial statements as additions in property, plant and equipment assets of £99.6m which includes refitting of the existing hotel portfolio and the acquisition of 6 new hotels.

On an IFRS 16 basis, Right of Use Assets (Note 15) increased by £17.4m. This was the result of 6 new leases and modifications to existing leases totalling £95.7m and new leases of £42.3m offset by depreciation in the year. The corresponding lease liability increased by £94.3m. Whilst leasing remains an efficient strategy to support the expansion of the business, in February the Group completed contracts to acquire 66 Travelodge branded hotels that we previously leased from LXi REIT plc which has meant that the lease payments on these hotels are now kept within the T&L Holdco Group.

Changes to Group Structure

In January 2024, LXi REIT plc announced that it had exchanged contracts unconditionally on the sale of 66 Travelodge branded hotels to the Travelodge Group for £210 million, in line with the book value on 30 September 2023. The transaction completed on 28 February 2024, with the assets now under the ownership of a new group of property entities within the wider Travelodge group. At this time, T&L Holdco Limited was established as the new parent company with the new property structure as well as the operating entities (under Thame and London Limited) as wholly owned subsidiaries. The PropCo Group leases the acquired hotels to Travelodge Hotels Limited under the same conditions as previously agreed with LXi REIT plc.

The transaction marked a positive step for the Travelodge Group to strengthen its hotel portfolio and to directly own a large volume of sites. The new property financing structure provides a platform to facilitate further freehold acquisitions.

Going concern

In assessing the appropriateness of the going concern assumption, the Board has considered the possible cash requirements of the Company to the end of 2026, taking into account current economic and political pressures, the range of trading outcomes and mitigating actions which could be taken. Further details are set out in Note 2.

Based on the above, the Directors believe that it remains appropriate to adopt the going concern basis in preparing the financial statements. In reaching this conclusion, the Directors noted the Company's strong trading and cash performance in the year, the substantial funding available to the Group of which the Company is part of and the range of severe but plausible downside scenarios.



Aidan Connolly
Chief Financial Officer

31 March 2025

Section 172 Statement

This section 172 Statement aims to help shareholders better understand how directors have discharged their duty to promote the success of the Company for the benefit of its members, having considered the interests of various stakeholders and the broader matters set out in section 172(1)(a) to (f) of the Companies Act 2006:

a. the likely consequences of any decision in the long term,

b. the interests of the Company's employees,

c. the need to foster the Company's business relationships with suppliers, customers, and others,

d. the impact of the Company's operations on the community and the environment,

e. the desirability of the Company maintaining a reputation for high standards of business conduct, and

f. the need to act fairly between members of the Company.

The Wates Corporate Governance Principles for Large Private Companies provides a framework for the Group to demonstrate how the Board make decisions, aligned with the strategy, for the long-term success of the company and its stakeholders, as well as having regard to how the Board ensure the Company complies with its requirements ~~of~~ under this Section 172 statement. The Group adopted the Wates Principles during 2024. Our reporting against the Wates Principles has been included on page 53 in the 2024 T&L Holdco Limited accounts and should be read in conjunction *with the information on stakeholder engagement and key decisions discussed within this report.*

Stakeholder engagement and consideration

Accountability and transparency with stakeholders are key to the long term success of the Group. We consider our key stakeholders to be customers, team members, shareholders and investors, landlords and other creditors including key operational suppliers, local authorities, and communities.

Further details of how we have engaged with these groups is given within the sustainability section of the report within T&L Holdco Limited's statutory accounts, however some examples of how the Board ensures that stakeholders are considered during Board meetings and for decisions are as follows:

- monthly reporting to the Board as part of the CFO update with a range of KPIs including customer and colleague metrics. The monthly CEO update includes any interaction with lenders, team members, landlords and regulators and presents any required decisions for review, and regular updates from across the organisation to help it understand the impact of decisions on all the key stakeholders;
- regular meetings with the Company's shareholders;
- quarterly briefings to the Group's bondholders, regular meetings with lenders;
- six monthly business update calls with landlords, developers and key contacts from the property industry and regular newsletters;
- 6-monthly updates to the Sustainability Committee to track progress against the Group's 'Better Future-Sustainability' plan and
- presentation of the feedback from the annual Your Voice colleague survey for review, twice yearly "Shadow Board" meetings with a cross section of 12 employees representing all areas of the business.

Principal decisions

We outline below examples of how the directors of the Company have had regard to the matters set out in section 172(1)(a) to (f) in their decision making during 2024, including consideration of employees and other stakeholders.

Long-term refinancing of Group debt
In June, we successfully completed a long-term refinancing of the Group's Euro debt. The refinancing comprised the issuance of €250 million in aggregate principal amount of Senior Secured Floating Rate Notes due 2030 (the "EUR Notes"), reducing the coupon by 175bps, to replace the €250m Senior Secured Floating Notes due 2028, and adding an additional £85m tap of the £330m Senior Secured Fixed Notes due 2028.

Having reviewed a number of different scenarios and the impact they might have on the Group's financial position, the Board concluded that it would most likely promote the success of the Group in the long term for the benefit of its members as a whole, to refinance the existing Euro Notes, reducing the interest rate and extending the term, as well as raising additional funds.

It was concluded that refinancing the Group's existing Euro notes due to be repaid in 2028 and securing the additional £85m funding would alleviate any uncertainty caused by macroeconomic conditions, strengthen the Group's liquidity position and allow the Group to continue to invest in the business, including our accelerated refit programme, delivering strong commercial and customer benefit. As part of the refinancing S&P re-confirmed the Travelodge Group credit rating of B with a stable outlook and Moody's upgraded the Travelodge OpCo Group outlook to positive and reconfirmed the credit rating of B3.
In taking these decisions the Board considered the matters set out in s. 172(1)(a) to (f).

Section 172 Statement (continued)

Brand Advertising campaign
2024 saw the continuation of the Group's accelerated refit programme, upgrading our estate to next generation rooms, with 50% of our rooms refitted by the end of the year. As part of the continued investment in the business to drive growth and quality, the Board decided to embark on a multi-channel advertising campaign with the slogan "Better Get a Travelodge", to promote the transformation and build brand recognition and consideration. The campaign covered TV, cinema, radio, outdoor and digital channels.

In taking these decisions the Board considered in particular the matters set out in s. 172(1)(a) to (e).

Principal Risks and Uncertainties

The Directors have carried out an assessment of the principal risks facing the Company, including those that would threaten its brand and reputation, delivery of its strategy or its physical assets, people or systems.

This is carried out under a risk management framework including internal controls to protect our business as far as reasonably possible against known and emerging risks and a periodic review of those controls to reduce the risk of failing to achieve our business objectives.

Additional risks and uncertainties, not presently known to management or deemed less material currently, may also adversely affect the business. The exposure to each risk will evolve as we take mitigating actions or new risks emerge. *The risks set out below summarise the position at the date of the annual report.*

Risks are grouped according to their overriding theme and are described along with the movement in net risk during the year.

We consider risk in three ways:

- Inherent risk - the risk level without any mitigations or controls put into place by Travelodge
- Current risk - the risk level after Travelodge's current mitigations and controls are in place and
- Planned risk - the risk level Travelodge seeks to achieve with further planned activity.

Within each principal risk noted below, we note the direction of travel of each inherent risk alongside the description of the inherent risk, our key mitigations and any progress achieved during 2024.

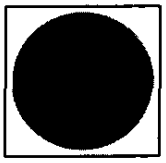
We have removed the key risk of liquidity presented in last year's report. This risk was previously disclosed because we operate a financially geared leasehold model with high fixed costs (including rent) funded mainly by publicly traded bonds. A lack of appropriate levels of covenant headroom, cash resources, or inadequate cost controls could impact our financial performance. This principal risk has been removed following the continued positive economic performance, although it should be noted that other principal risks, should they crystalise, could separately stress our liquidity. For further details, please see the Strategic Report's Outlook and Going Concern sections in T&L Holdco Limited's financial statements.

Financial risk management is also presented within note 22.

Principal Risks and Uncertainties (continued)

C Risk	Description	Key Mitigations	Progress
Health, Safety, Security Change of inherent risk compared to 2023:  	Our customers' and colleagues' safety and security are paramount to operating our business. Our activities have the potential to cause serious injury to our customers and colleagues, to damage property or the environment, to have a negative impact on the wellbeing of people or to harm our reputation. Key areas remain the risks we face from fires within our hotels and the personal safety of our Customers and Colleagues. The inherent risks associated with our operational activities have not changed throughout 2024, and this is reinforced by the number of incidents that are broadly in line with 2023, including both fire and confrontational incidents. Our audit pass rate evidences that we are implementing controls we have developed to minimise and mitigate these risks.	We are focused on demonstrating the highest standards of Health & Safety("H&S") management. The Safety, Security and Risk ("SSR") committee meets at least 11 times yearly and acts as the senior leadership group responsible for Safety, Security and Risk. Various members of our Operating Board chaired this committee in several parts. The results of this committee are reported monthly to our Operating Board, with a summary to our Main Board. We regularly train our team members in various topics and share and develop best practices internally through our Area-based Safety Champions. Key H&S training (fire safety, personal safety and safeguarding) is actively monitored centrally and reported monthly to both the SSR committee and the Operating Board and action is taken if the completion rate ever drops below 95%. We maintain relationships with primary authority partnerships for Fire and Health and Safety. We use an independent third party to conduct unannounced safety audits at all our hotels. Each hotel typically receives at least two reviews per year or more based on its risk profile. Our personal safety devices support and protect our colleagues who work alone, particularly overnight, providing extended coverage across our hotels. We have dedicated Incident Management procedures to react to serious events within our business, which are tested yearly. We actively monitor our audit, enforcement, accident, and incident data, ensuring that all information is analysed and improvements are made where possible.	Our health and safety record has been consistently good, and we have maintained a strong track record that aligns with our commitment to robust health and safety management. In 2024, we maintained strong health and safety audit results with a pass rate over 95% something we achieved for seven years in succession. We also had over 250 enforcement contacts and visits, the majority of which were from fire officers, but also included food hygiene inspections, environmental health officers, licensing inspectors and other enforcing agencies, none of which found any issues of concern that required action to be taken. During 2024 we increased the number of hotel colleagues provided with basic training in first aid from circa 1,000 to over 3,500 to ensure that there is always at least 1 person on duty at all times that has been provided with our basic first aid training. The monitoring of the completion of key H&S training has been consistently maintained at above 95%. We continue to make progress in developing our Business Continuity Management System ("BCMS") and undertook a full mock test of a cyber ransomware attack. With our platform,' Better Me, ' we continued to develop tools to support our colleagues' well-being. The sustainability section of this report provides further details. We have commenced the role out of the first phase of our Fire Digitisation system, which is due to be completed in 2025. This will provide greater central oversight of fire compliance and further improve fire safety standards.

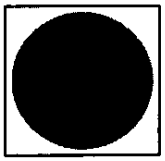
Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Regulatory Change of inherent risk compared to 2023: 	New or changes to existing regulations can impact Travelodge's business model and require us to change our working methods, which incurs additional costs. We also risk being found non-compliant with regulations. Financial penalties or enforced closures of our hotels could be imposed for breaches of health and safety or data protection legislation, which are good examples of this. Due to the number of hotels we operate and the volume of customers who stay with us, we may be exposed to isolated incidents that fall below our expected standards and may expose us to prosecution. During 2024, we consider inherent regulatory risk to have increased, given the volume of regulation impacting us that has been announced. Across the United Kingdom, the introduction of visitor levies by councils in the UK and nationally across Wales and Scotland will increase our cost base if not passed on to our customers, increasing complexity and system changes to prepare for any recharges. We also note Sustainability-related *reporting regulations* coming into force alongside other regulations such as the deposit and return bottle scheme in England and Northern Island announced at the start of 2025.	We expect to comply with all laws and regulations, whether pre-existing or upcoming. We monitor new and emerging risks through our Safety, Security and Risk Committee, including regulatory changes. This group ensures we know the possible impacts and any required business changes to remain compliant. All risks within our business, including each regulatory risk, are owned by one of our Operating Board members and reviewed at least quarterly for material change. We also maintain relevant insurance cover to an appropriate level where required under regulation or where considered appropriate to mitigate a specific risk.	During 2024, the Safety, Security and Risk Committee considered several areas of developing regulation which could impact us. This included maintaining a dedicated group to review changing fire legislation following the aftermath of the Grenfell tragedy. We continue to monitor the progress and development of the proposed Terrorism Protection of Premises legislation (also known as Martyn's Law). We also considered the emergence of the Retained EU Law (Revocation and Reform) Bill, which retained the majority of existing EU law. A working group was established to effectively manage the upcoming impact of visitor levies, including our ability to effectively communicate with each levy operator, to prepare our systems and processes to manage each levy effectively, and to build relationships with our segment and sector groups such as UK Hospitality. We also note that draft regulations published in July 2023 would have added specific additional corporate and company reporting requirements to the large UK-listed and private companies such as Travelodge, including an annual resilience statement, distributable profits figure, material fraud statement and triennial audit and assurance policy *statement have also been* withdrawn.

Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Recruitment and retention Change of inherent risk compared to 2023:  	We employ approximately 13,000 people, with around 85% of colleagues being team members earning the national living wage, assistant hotel managers, and hotel managers. Our most significant risk is failure to attract and retain employees, particularly in relation to housekeeping team members in London and the South East, which is caused by labour supply changes and lower levels of EU starters. As a result, and our roles becoming less attractive to the younger generations, competition for employees remains significant in our markets.	Our hotels operate on minimum manning levels, subject to their risk and complexity. We continue to seek ways of reducing headcount through strategic productivity activity, including the contactless hotel model and our workaround commitment to contractual hours for our existing workforce. Through our annual Your Voice survey, we continue to analyse the key reasons that colleagues leave and the key drivers that lead to colleagues recommending Travelodge as a great place to work. We know from our 2024 survey that a sense of belonging, well-being and career development are key drivers of eNPS. So we continue to focus on our Learn More, Earn More and Belong strategy to deliver initiatives to support this. These include evolving our Belong campaigns to include more colleagues with a focus on emotional, physical, financial and work well-being, internal team succession for all hotel roles via Aspire, using variable pay schemes to increase average earnings and increasing the number of colleagues who can complete one or more of the Aspire levels. We continue to commit to increasing the number of contractual hours for our colleagues as we know colleagues who have higher contractual hours (24 or more) are more likely to stay with us, as well as setting clear targets for stability (hourly paid colleagues who have been in employment for 6 months or more). We will also continue focusing on creating more part-time opportunities for hotel management roles to support the need for more flexible working patterns.	In 2024, we achieved over 80% stability for the first time, ending the year at 82.9%, and labour turnover decreased to 54% from 76% in 2023. Our overall Glassdoor rating was 3.69. Average contractual hours per colleague remained at 18 hours in 2024, with 28.9% of colleagues having contractual hours of 24 or more. Our Your Voice response rate was the highest ever at 80% vs 70% in 2023, and our wellbeing & career development scores showed year-on-year progress. During 2024, we expanded the opportunities to learn more with 1,069 colleagues completing one of 5 Aspire levels, from just under 200 in 2023, and 800 learning opportunities were completed by Sleepy Hollow colleagues, including bitesize sessions, Limitless and coaching. 6,375 colleagues benefitted from our Earn More schemes during 2024, with the average hourly pay increase being 10.7%, which equates to an additional £0.12 per hour for those colleagues. At the end of 2024, we had 47 part-time hotel/assistant hotel managers in the role, and 66% of our hotel management team were internal appointments. In 2025, we expect to introduce auto-scheduling and shift locator, which will improve efficiency for our hotel managers to complete rotas that incorporate the needs of their team members and allow team members to search and accept additional shifts in their home hotel or other hotels in their geographical area.

Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Price competition and market trends Change of inherent risk compared to 2023: 	Our competitors could adjust their room rates, adversely impacting demand for our rooms. Whilst we cannot control our competitors' pricing, we face a risk that our ability to react to these price changes is sub-optimal and adversely impacts our revenue. Macro factors in 2024 impacted demand from several market segments. Even though these are not direct customer groups for us, competitors reduced rates to replace this business. In some other areas, demand and market rates increased.	We operate a fully centralised, best-in-class revenue management team and system, which allows us to forecast our prices versus our competitors accurately and frequently and, therefore, price confidently. We regularly benchmark our results to Smith Travel Research, an industry benchmark data set.	We have a continuous improvement programme in both digital and revenue management innovations. In 2024 we invested in enhancements to our RM strategy, including: room type premiums, rate type premiums, on the day rates, groups pricing and room display hierarchy. This work is integrated into our digital and sales channel strategy. Our corporate sales team has a continuous programme to sign up more small and medium entities alongside improvements to the corporate member's website. We performed strongly compared to our competitors, who performed well within our comparable market set. Our key competitors increased their investments, including increases in their Global Distribution Systems, commissions and acquisition costs.

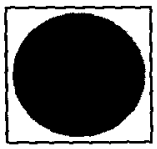
Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Cyber and data Change of inherent risk compared to 2023:  	While our data and systems contain the expected controls to protect us from cybercrime, they are nevertheless exposed to external threats such as hackers, malware or viruses. These could lead to data breaches or disruption to our business operations. A significant and successful cyber attack could threaten our liquidity. As part of our due diligence we have assessed, with the assistance of our Cyber Trusted Partner, which threat actors are the most likely to attempt to compromise our data or systems and have aligned our security programme to address those risks. We run business systems that are internet-based. These may attract the attention of threat actors who may wish to steal data or deny access to these systems. We may also be exposed to collateral damage if a key supplier or national infrastructure is compromised, resulting in a loss or reduced service from that supplier. Globally, cyber incidents have grown over the last years, and this may impact our ability to secure cyber insurance at a reasonable cost, or even at all.	We manage information in compliance with relevant compliance and legal regulations, including the Data Protection Act (2018). We review general data security regularly and invest in proportionate and appropriate resources, systems and processes to ensure the security of our systems, our Customers, our card data, and our compliance with the regulatory requirements of both PCI DSS and data protection regulations. We operate an ongoing information and cyber security programme that continually assesses our systems, controls, processes and cyber security awareness training against industry best practices, the NIST 2.0 framework, and evolving threats. We invest in making the necessary changes and improvements to strengthen our cyber security provisions in the light of emerging threats and changes in the underlying technical infrastructure.	We continued our business-wide phishing training testing out-performing the KPI and colleagues completed two rounds of cyber awareness training. In 2024, our cyber maturity continued to improve, and we hit a key NIST maturity milestone in the summer alongside migrating to version 2.0 of the framework. We have now set ourselves a stretch target for 2025. We are externally assessed by cybersecurity experts annually against this framework alongside the annual PCI DSS audit. In 2024 we were audited against version 4.0 of the PCI controls which was mandatory from March 2024. The results of these audits inform our ongoing investment and actions to improve our security posture continually. We have an Incident Response and Recovery partner on retainer to provide expertise and support if a cyber incident should occur. We also developed our business incident management procedures, undertaking an incident management test of a simulated cyber event. We have proportionate technical protection in place for the type of threat actor likely to target our business.

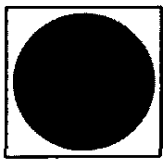
Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Loss of supplier or supplier business-critical IT system Change of inherent risk compared to 2023: 	Travelodge relies on third parties for services and, as such, is exposed to business interruption risks or going concern risks, which could impact our ability to trade. This risk could also crystallise through material business change projects that affect our suppliers or related business-critical IT systems. During 2024, we commenced a program to upgrade and transition our Property Management System to a new cloud-based system. This is now materially completed. We have also started a new program to review and consider replacing and upgrading our Food & Beverage system. This risk has been heightened during 2024 as we review a replacement *and upgrade to our Food* and Beverage system. This is a key business system; interruption for extended periods could have a material impact on our business.	We maintain regular communications and performance management processes with existing key suppliers and review their business continuity and disaster recovery plans. Where appropriate, we ensure contingency supply options are available if required. Risk assessments are performed by our Procurement, Legal and Risk teams in conjunction with other compliance functions during key supplier sourcing events including incumbent reviews or where we have material changes to scope with existing suppliers. This includes but is not limited to descriptions of processing, privacy impact assessment, business continuity provisions, Security technical controls, financial due diligence, service level agreements and audit rights within Supplier contracts, which are proportionate to the presented by the supplier. We will place appropriate *governance, risk mitigation, and* programme assurance on the change where required in line with that risk profile.	We continued to monitor, review and performance manage our key suppliers during 2024. Efforts to maintain the optimum balance of supplier diversification and contingency/substitution planning with critical services and products were key this year in areas such as linen, food and beverages and various suppliers supporting our hotel refit program. Introducing our new supply chain sustainability risk partner in 2025 alongside the introduction of our new Head of Supplier Relationship Management will bolster our strategic sourcing reviews by adding enhanced supplier risk identification and monitoring capabilities, further enhancing our *supply chain resilience.* We have implemented the necessary governance arrangements to mitigate any risks. We also have established a dedicated implementation team, including seconded members of Travelodge, to work with any external implementation partner.

Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Macroeconomic Change of inherent risk compared to 2023: 	The broader economy in the UK may suffer from adverse events that indirectly reduce the demand for our rooms or food and beverage offerings or increase our cost base. This could, in extreme, threaten our liquidity. During 2024, we consider inherent macroeconomic risk to have increased. There is continuing tension across parts of the world, particularly in the Middle East, alongside the ongoing conflict in Ukraine, contributing to energy cost risk. There is also possible uncertainty due to political change with a new Labour government in the UK and a new Republican government in the United States of America from January 2025. These factors can contribute to volatility in cost inflation and supply chain continuity risk. The economy is still adjusting to moving away from an extended period of very low interest rates. Which initially drove a cost of living crisis. Whilst in 2024, inflation and interest rates recovered from peak levels, there remains a risk for future economic stability, and demand still has the potential to be reduced, which could be at least partly offset by consumers choosing to trade down to lower-cost operators. Energy and linen are our two largest supplier spending areas (excluding rents and rates). Both markets faced unprecedented inflationary pressures coming into 2024.	We currently have a strong balance sheet with substantial liquidity. We continue to seek to drive efficiencies into our business; these include using flexible energy contracts that allow electricity and gas prices to be bought and sold throughout the contract term. We review our financial projections for the foreseeable future, particularly the occupancy and rate forecasts, which have been stress-tested with plausible but pessimistic changes to those assumptions, including macroeconomic shocks. This allows us to react to macroeconomic or other modifications and maximise financial returns. We continue to focus on our high-value, high-risk supplier contracts, prioritise sourcing efforts based on emerging risks, and identify opportunities to leverage market conditions to drive material incremental supply chain value, maintain supply stability, and reduce costs.	During 2024, we acquired 66 Travelodge-branded hotels during 2024, deleveraging our rental costs. We remain contracted to our key linen supplier until 2026. Due to energy and labour being the single highest cost contributors, costs are negotiated more frequently to ensure accurate cost budgeting and that final costs are truly market-reflective. We renewed our energy contracts in 2023, which allows us to hedge until April 2026. We have agreed on a hedging framework, which we adhere to and are currently 75% hedged throughout 2025 and 55% of quarter 1 in 2026. We are commencing full market reviews of both of these areas in 2025. Significant work also took place to minimise short-term inflationary impacts on key contracts by using extended contract terms as a lever, providing us and our strategic partners with mutual longer-term contractual stability and security.

Principal Risks and Uncertainties (continued)

Principal Risk	Description	Key Mitigations	Progress
Sustainability and Climate Change Change of inherent risk compared to 2023: 	Sustainability, including climate change, biodiversity depletion, and environmental pollution present businesses with financial, operational, and reputational risks. Regulatory action and reporting requirements to manage climate change could result in additional taxes or restrictions being imposed. The risk to the business has increased over the last few years, mainly due to the risk of non-compliance to several growing reporting and regulatory requirements, including the introduction of the Non-Financial and Sustainability Information Statement (NFSIS) in 2023, the Corporate Sustainability Reporting Directive (CSRD) and the announcement of IFRS S1 and S2 which are expected to be enacted into UK law during 2025. In addition we may also be required to implement new business change to meet the requirements of new sustainability related laws, such as the announced deposit return scheme for drinks containers in England and Northern Ireland, which has already been implemented in Wales and announced in Scotland.	We prepared our first sustainability strategy in 2021 and issued our first report on this matter, "Better Future" which laid out the material sustainability topics that mattered to us, and the goals and KPIs we had set ourselves to advance our sustainability agenda. Our Better Future report is issued annually and provides an update on our progress. The most recent version can be found here. Since 2021 we have created a formal Sustainability Committee of the Group, chaired by a non-executive director, to oversee our sustainability strategy including the Group's plans on environment and climate change. We also have a dedicated sustainability team to support and challenge the wider business on sustainability matters and ensure we remain compliant with reporting matters. We monitor our sustainability agenda and associated risks and opportunities through steering groups covering these three pillars, chaired by various Operating Board members, which meet quarterly. These group also acts the as the focus for business change, ensuring we can react to changing legislation to mitigate risk or maximise opportunity.	During 2024 the key area of progress to undertake a double-materiality assessment, refreshing our original assessment conducted in 2021. This work will set our priorities for the future, refreshing those already in place for changes in stakeholder views, laws and the changing sustainability landscape. We have also prepared our second set of Taskforce on Climate-Related Disclosures and further reporting on sustainability which can be found within the 2024 financial statements for T&L Holdco Limited.

Approved by the Board of Directors and signed on their behalf by:

Jo Boydell
Chief Executive Officer

31 March 2025

Corporate Governance Framework

On 28 February 2024, T&L Holdco Limited completed the acquisition of the Company and its existing Travelodge operating entities (Travelodge OpCo Group), becoming the UK parent company of the expanded Travelodge Group. Under the new corporate governance framework put in place following the acquisition:

- the Board of Directors of the Company remains the main governance body of the Travelodge OpCo Group and retains a separate Audit Committee to assist the Board in overseeing the systems of internal control and risk management, and the external financial reporting, of Travelodge OpCo Group and

- the Safety, Security & Risk Committee (SSR), which is the Travelodge Group's senior management risk committee, remains responsible for overseeing the Group's risk management framework and processes at Group level, and reports separately to the Audit Committee of Thame and London Limited on matters relevant to the Travelodge OpCo Group.

Authority for decision-making is formally delegated by the Board and flows through the Travelodge OpCo Group to ensure an appropriate and consistent approach.

Further details of Travelodge's corporate governance arrangements can be found in the 2024 accounts of T&L Holdco Limited on page 53.

Directors' Report

The Directors present the Directors Report to the audited financial statements for Travelodge Hotel's Limited (" the Company") for the year ended 31 December 2024.

Directors
The Directors of the Company who were in office during the year and up to the date of signing the financial statements are set out on page 1.

Results
Results for the Company are for the full year ended 31 December 2024, with comparatives for the full year ended 31 December 2023.

For 2024, the Company made EBITDA (adjusted)[1] Profit of £190.9m (2023: £239.9m), Operating Profit of £257.7m (2023: £318.1m) and a Profit Before Tax of £96.9m (2023: Profit of £147.2m).

Ownership
The Company is a wholly owned direct subsidiary of Full Moon Holdco 7 Limited which is itself a wholly owned indirect subsidiary of T&L Holdco Limited. T&L Holdco Limited was incorporated in 2024 and is now the ultimate holding company for the Group. In 2023, Thame and London Limited was the ultimate UK parent company producing UK consolidated accounts of which the Company was a wholly owned subsidiary. In 2024, Thame and London Limited became a wholly owned subsidiary of T&L Holdco Limited.

At 31 December 2024, the Directors regarded Anchor Holdings SCA as the ultimate controlling party.

The Company is currently majority owned indirectly by funds managed by GoldenTree Asset Management LP. A minority stake is held by certain senior managers under the Management Incentive Plan. GoldenTree Asset Management LP is a global asset management firm that specialises in high yield bonds, leveraged loans, distressed debt, structured products, emerging markets, private equity and credit-themed equities. The firm was founded in 2000 with offices in New York, West Palm Beach, London, Singapore, Sydney, Tokyo, Dubai and Dublin, and has approximately $53 billion in assets under management.

Statement of Corporate Governance Arrangements
This is disclosed per The Wates Corporate Governance Principles for Large Private Companies under the Companies (Miscellaneous Reporting) Regulations 2018 and Corporate Governance reporting at Group level in the 2024 accounts of T&L Holdco Limited on page 53.

Statement with respect to Employee Engagement
"Stakeholder Engagement" and Principle 6 of the adopted Wates principles on corporate governance can be viewed within the 2024 accounts of T&L Holdco Limited on page 58 and within the Section 172 Statement of these accounts.

Statement with respect to Business Relationships
The strategic report discusses the Company's approach toward individual stakeholders and further clarity provided as part of the section entitled "Stakeholder Engagement" within the 2024 accounts of T&L Holdco Limited on page 58 and within the Section 172 Statement of these accounts.

Statement with respect to Emissions and Energy Consumption
We have completed the mandatory reporting requirements for all emission sources. These sources fall within our organisational boundary, based on an operational control approach in accordance with the GHG Protocol. This reporting is as required under the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013 and the Environmental Reporting Guidelines, including the Streamlined Energy and Carbon Reporting (SECR) requirements (March 2019).
Our total energy consumption for 2024 was 217.7 GWh (2023: 223.1 GWh) with an intensity of 16.0 (2023: 16.7) kWh consumed per room sold.
Our total mandatory carbon emissions reporting for 2024 was 43,665 tonnes (2023: 44,685 tonnes) of carbon dioxide and equivalent gases (CO_2e), with an intensity of 3.2 (2023: 3.4) tCO_2e per 1,000 rooms sold.

The strategic report presents further information with regard to non-financial and sustainability information on pages 20-31 within the 2024 accounts of T&L Holdco Limited.

Currency
The majority of the Company's revenue is earned in sterling. The majority of the Company's costs are paid in sterling.

(1) EBITDA (adjusted) = Earnings before interest, tax, depreciation and amortisation and non-underlying items, on a pre-IFRS 16 basis, and before rent phasing adjustment. In this measure the benefit of rent free periods agreed in the ordinary course of rent negotiation, are spread on a straight line basis until the next rent review (normally five years from initial agreement). Non underlying items have been removed as they are related to items that are considered to be significant in nature and quantum, and not in the normal course of business. The calculation for this measure is consistent with prior years. See APM glossary pages 61-67 for further details and statutory reconciliation

Directors' Report (continued)

Directors' and officers' insurance and indemnities
The Company maintains directors' and officers' liability insurance which provides appropriate cover for legal action brought against its directors and officers. The Company has also granted indemnities to each of its directors to the extent permitted by law. The indemnities, which constitute qualifying third-party indemnity provisions as defined by section 234 of the Companies Act 2006, were in force during 2024, are in place at the date the financial statements are approved and will remain in force for all current Directors.

Employees
Travelodge has policies for resourcing, and equality and diversity which clearly sets out our commitment to equal opportunities. Our resourcing policy draws attention to making reasonable adjustments for those with potential disabilities, and the equality & diversity policy highlights the rights of disabled colleagues. In accordance with our equality statement and the Equality Act 2010, we consider reasonable adjustments during our recruitment process to support inclusion of candidates who may have disabilities. We are committed to ensuring that the abilities of everyone at Travelodge are recognised and valued at all levels of the organisation, including anyone working with a disability.

Going concern
The strategic report discusses the Company's assessment of the appropriateness of the going concern assumption on page 8.

Future developments
Commentary in respect of likely future developments in the business has been included in the Outlook section of the Chief Executive Officer's report on page 4 and in the assessment of the going concern assumption in Note 2.1.

Taxation
The Underlying current tax charge for 2024 of £8.5m charge (2023: tax credit of £55.4m) breaks down between a current tax charge of £1.0m (2023: £2.0m) and a deferred tax charge of £7.5m (2023 credit: £57.4m).

There was a Non-Underlying tax credit of £0.6m for 2024 (2023: £1.7m) in respect of the allowable tax items within the Non-Underlying charge in the year.

Dividend
The Directors do not recommend the payment of a dividend.

Independent Auditors
The auditors, PricewaterhouseCoopers LLP (see page 1 for details), have indicated their willingness to continue in office.

Approved by the Board of Directors and signed on behalf of the Board



Jo Boydell
Chief Executive Officer

31 March 2025

Statement of Directors' Responsibilities

The Directors are responsible for preparing the Annual Report and financial statements in accordance with applicable law and regulation.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law).

Under company law, Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing the financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently.
- state whether applicable United Kingdom Accounting Standards, comprising FRS 101 have been followed, subject to any material departures disclosed and explained in the financial statements.
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

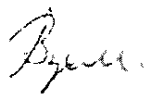
The Directors are also responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006.

Directors' confirmations

In the case of each Director in office at the date the Directors' report is approved:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditors are unaware; and
- they have taken all the steps that they ought to have taken as a Director in order to make themselves aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Approved by the Board of Directors and signed on their behalf by:



Jo Boydell
Chief Executive Officer

31 March 2025

Independent auditors' report to the members of Travelodge Hotels Limited

Report on the audit of the financial statements

Opinion

In our opinion, Travelodge Hotels Limited's financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 101 "Reduced Disclosure Framework", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report and Financial Statements (the "Annual Report"), which comprise: the Balance Sheet as at 31 December 2024; the Income Statement, the Statement of Comprehensive Income, and the Statement of Changes in Equity for the year then ended; and the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, as applicable to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

To the best of our knowledge and belief, we declare that non-audit services prohibited by the FRC's Ethical Standard were not provided.

We have provided no non-audit services to the company in the period under audit.

Conclusions relating to going concern

Our evaluation of the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included:

- Critically assessing the assumptions within the models including assessing the historical accuracy of management's forecasts and obtaining corroborating evidence for the assumptions used including forecasted revenue per available room (RevPAR);
- Evaluating the directors' assessment of the continuous demand for hotel accommodation, the potential impact of inflation, employment cost changes, energy costs and the ability of the Company to manage costs, agreeing to evidence where available and ensuring they align to our understanding of the business;
- Obtaining and reviewing the financing arrangements of the Company;
- Performing an independent sensitivity analyses to the severe but plausible case to assess the impact on liquidity headroom; and
- Confirming that consistent assumptions have been used across going concern, impairment and other key areas of estimation.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and Directors' Report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' Report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and Directors' Report for the year ended 31 December 2024 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and Directors' Report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the company and industry, we identified that the principal risks of non-compliance with laws and regulations related to health and safety regulations, data protection legislation and employment legislation, and we considered the extent to which non-compliance might have a material effect on the financial statements. We also considered those laws and regulations that have a direct impact on the financial statements such as taxation legislation and the Companies Act 2006. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to posting inappropriate journal entries to manipulate reported results and management bias in accounting estimates. Audit procedures performed by the engagement team included:

- Evaluating managements controls designed to prevent and detect irregularities;
- Making enquiries with management, including consideration of known or suspected instances of non-compliance with laws and regulations;
- Challenging assumptions and judgements made by management in significant accounting estimates;
- Reviewing Board meeting and other minutes to identify any non-compliance; and
- Identifying and testing journal entries meeting certain criteria which included journal entries posted with unusual account combinations.

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

Diane Walmsley (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
London
1 April 2025

TRAVELODGE HOTELS LIMITED

INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2024

		2024			2023		
		Underlying	Non-underlying	Total	Underlying	Non-underlying	Total
	Note	£m	£m	£m	£m	£m	£m
Revenue	4	1,008.0	-	1,008.0	1,016.5	-	1,016.5
Operating expenses	5, 7	(561.6)	(11.1)	(572.7)	(532.5)	(14.4)	(546.9)
Other income	6, 7,21	6.3	0.7	7.0	5.4	0.9	6.3
Depreciation & amortisation		(174.4)	-	(174.4)	(160.8)	-	(160.8)
Impairment reversal	7	-	-	-	-	7.7	7.7
Loss on disposal of fixed assets	7	(10.2)	-	(10.2)	(5.0)	0.3	(4.7)
Operating Profit		268.1	(10.4)	257.7	323.6	(5.5)	318.1
Finance costs	9	(221.1)	-	(221.1)	(216.6)	-	(216.6)
Finance income	10	60.3	-	60.3	45.7	-	45.7
Profit before Tax		107.3	(10.4)	96.9	152.7	(5.5)	147.2
Income tax (charge)/credit	11	(8.5)	0.6	(7.9)	55.4	1.7	57.1
Profit for the year		98.8	(9.8)	89.0	208.1	(3.8)	204.3

Non-underlying items are detailed as they relate to items that are considered to be significant in nature and quantum, and not in the normal course of business (Note 7).

TRAVELODGE HOTELS LIMITED

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2024

	2024	2023
	£m	£m
Profit for the year	89.0	204.3
Total other comprehensive expense	-	-
Total comprehensive income for the year	89.0	204.3

TRAVELODGE HOTELS LIMITED

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2024

For the year ended 31 December 2024	Share Capital	Other Reserves	Accumulated Losses	Total Equity
	£m	£m	£m	£m
At 1 January 2024	300.0	12.5	(37.5)	275.0
Profit for the year	-	-	89.0	89.0
Total comprehensive expense	-	-	-	-
Transactions with owners				
Recognition of share-based payments (note 25)	-	8.1	-	8.1
Total Transactions with owners	-	8.1	-	8.1
At 31 December 2024	**300.0**	**20.6**	**51.5**	**372.1**

For the year ended 31 December 2023	Share Capital	Other Reserves	Accumulated Losses	Total Equity
	£m	£m	£m	£m
At 1 January 2023	300.0	5.7	(241.8)	63.9
Profit for the year	-	-	204.3	204.3
Total comprehensive income	-	-	204.3	204.3
Transactions with owners				
Recognition of share-based payments (note 25)	-	6.8	-	6.8
Total Transactions with owners	-	6.8	-	6.8
At 31 December 2023	**300.0**	**12.5**	**(37.5)**	**275.0**

TRAVELODGE HOTELS LIMITED

BALANCE SHEET
AS AT 31 DECEMBER 2024

	Note	2024 £m	2023 £m
NON-CURRENT ASSETS			
Intangible assets	13	15.6	12.2
Property, plant and equipment	14	192.1	147.6
Right of use assets	15	2,199.3	2,181.9
Deferred tax asset	23	50.9	58.3
		2,457.9	2,400.0
CURRENT ASSETS			
Inventory	16	2.0	1.8
Intergroup receivables	17	548.3	443.0
Trade and other receivables	19	39.3	30.2
Current tax asset		0.1	0.5
Cash and cash equivalents	18	221.5	190.1
		811.2	665.6
TOTAL ASSETS		3,269.1	3,065.6
CURRENT LIABILITIES			
Intergroup payables	17	(73.7)	(69.8)
Trade and other payables	20	(152.5)	(142.6)
Corporation tax creditor		-	(1.4)
Lease liabilities	21	(89.7)	(79.0)
Provisions	24	(0.6)	(0.4)
		(316.5)	(293.2)
NON- CURRENT LIABILITIES			
Lease liabilities	21	(2,578.6)	(2,495.0)
Provisions	24	(1.9)	(2.4)
		(2,580.5)	(2,497.4)
TOTAL LIABILITIES		(2,897.0)	(2,790.6)
NET ASSETS		372.1	275.0
EQUITY			
Called up share capital	26	300.0	300.0
Other reserves	25	20.6	12.5
Retained earnings/(Accumulated losses)		51.5	(37.5)
TOTAL EQUITY		372.1	275.0

These financial statements on pages 27 to 60 were approved by the Board of Directors and signed on their behalf by:



Aidan Connolly
Director

31 March 2025

1 GENERAL INFORMATION

Travelodge Hotels Limited (the Company) is a private company limited by share capital and was incorporated in the United Kingdom and domiciled in the United Kingdom. The address of its registered office and principal place of business are disclosed on page 1. The Company provides budget hotel accommodation throughout the United Kingdom.

MATERIAL ACCOUNTING POLICIES

2.1 Going concern

In assessing the appropriateness of the going concern assumption, the Board has considered the possible cash requirements of the Group and Company to the end of 2026, taking a balanced view from the cost of living crisis, current macro-economic environment and political pressures the range of trading outcomes and mitigating actions which could be taken.

Availability of funding

We completed a refinancing in June 2024, where an additional £85m in senior secured notes was raised (still due in 2028) alongside replacing the existing €250m floating rate notes with new floating rate notes at a reduced coupon and extending maturity to 2030. We continue to have access to the revolving credit facility ("RCF") which matures in October 2027.

There are currently no drawings under the Group's £50m RCF, which has quarterly springing net leverage covenant test provided the test conditions are met (minimum of 40% drawn down) and remains undrawn under both our base case and severe but plausible scenario.

Base case scenario

Our base case forecast, to the end of 2026, reflects a return to normal levels of trading, in line with historical trading patterns. Overall, we expect like-for-like RevPAR to be moderately ahead of 2024 levels, with total revenue benefiting from new openings since 2023.

Our most significant cost is rent, with each lease reviewed on a five-yearly cycle in line with the relevant inflationary uplift, typically RPI or CPI, with a significant proportion having caps and collars in place. Other costs include wages, impacted by the National Living Wage increase and increases to National Insurance contributions, impacted by the increased rate and the reduced threshold. Supply costs are expected to increase in line with inflation or specific supply chain contractual increases, and the majority of our energy costs are hedged giving greater certainty over our costs.

We consider the base case to be reflective of the range of outcomes we face and there are also a number of potential upsides and mitigations that have not been included, such as the potential higher levels of staycation driven by a squeeze on household budgets and higher costs for international travel and increased inbound demand driving an indirect benefit to the Midscale & Economy sector. Additionally, we see good long-lead event bookings, and there are more events currently announced for 2025 than there were in all of 2024, and positive indications on future construction business demand.

Under this base case scenario, the Group is expected to continue to have significant headroom relative to the total funding available to it and to comply with banking covenants where applicable.

Severe but plausible downside scenarios

Our performance could be influenced by the continued macro-economic and political uncertainty, low levels of UK consumer confidence and businesses facing significant cost increases, potentially impacting on the levels of discretionary spend. Whilst there are a number of positive demand drivers the Board has therefore considered a severe but plausible downside scenario, considering a significant decline in RevPAR and higher inflation than the base case.

Our base case assumes moderate RevPAR growth vs 2024 and outperformance of the MS&E segment. The severe but plausible scenario assumes 2025 RevPAR declines vs 2024 by c. (5)%, which is comparable with the decline experienced by the Midscale & Economy segment during the Global Financial Crisis, when the UK economy contracted by more than (4)% points, which is significantly worse than current forecasts for UK GDP in 2025. This would also result in the first time in more than 20 years where the Midscale & Economy sector has seen two years of consecutive RevPAR contraction. This scenario then assumes RevPAR growth in 2026, in line with the patterns seen after the Global Financial Crisis.

Our base forecasts already include inflationary increases above CPI and RPI across the supply chain and

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

Going concern (continued)

contractually agreed costs for a number of significant supplies. Under our severe but plausible scenario, we consider the impact in the event that RPI and CPI were two percentage points higher than our base forecast 2025. The most significant cost impacted by higher inflation, in addition to the base forecast, is rent. Each lease is reviewed on a five-yearly cycle and this review cycle for the estate is broadly spread evenly over a five-year period, as such, the impact to the end of 2026 as a result of higher inflation would be a limited increase in rent due to the timings of reviews. We have also assumed that NLW growth in 2026 is 1% point higher than the base case scenario.

In this severe but plausible downside scenario, even before the potential mitigation which could reasonably be expected to be available, the group retains liquidity and complies with banking covenants.

Conclusion

Based on the above, taking account of current trading performance and reasonably possible changes in trading performance, the Directors believe that it remains appropriate to adopt the going concern basis in preparing the consolidated financial statements.

2.2 Basis of Accounting

The Company meets the definition of a qualifying entity under FRS 100 'Application of Financial Reporting Requirements' as issued by the Financial Reporting Council (FRC). These financial statements have been prepared in accordance with The Companies Act 2006 and Financial Reporting Standard 101, 'Reduced Disclosure Framework' (FRS 101).

As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to presentation of a cash flow statement and details of transactions with related parties. The following specific exemptions have been applied in the preparation of these financial statements as permitted in FRS 101 paragraph 8:

- The requirements of IFRS 7 Financial Instruments: Disclosures;
- The requirements of IFRS 15 Revenue from Contracts with Customers;
- The requirements of IFRS 16 Leases;
- The requirements of IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group;
- The requirements of IAS 7 Statement of Cash Flows; and
- The requirements of paragraphs 10(d), 10(f), 16, 38A, 38B, 38C, 38D, 40A, 40B, 40C, 40D, 111 and 134 to 136 of IAS 1.

Where required, equivalent disclosures are given in the consolidated financial statements of T&L Holdco Limited.

The Company is a wholly owned subsidiary of Full Moon Holdco 7 Limited and of its parent, T&L Holdco Limited. The results of the Company are included within the consolidated financial statements of T&L Holdco Limited and in the consolidated financial statements of Thame and London Limited, which are publicly available from Companies House. Therefore, the Company is exempt, by virtue of Section 400 of the Companies Act 2006, from the requirement to prepare consolidated financial statements.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted have been consistently applied throughout the year and are set out below.

2.3 Changes in accounting policies

The accounting policies adopted in these financial statements are consistent with those followed in the preparation of the financial statements in 2023, except for the adoption of the new standards and policies applicable for 2024. The significant accounting policies adopted are set out below and did not have any material impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

- Amendments to IAS 1 Non-current Liabilities with Covenants – Classification of Liabilities as Current or Non-current.
- Amendments to IFRS 16 -Lease Liability in Sale and Leaseback transactions.
- Amendments to IAS 7 and IFRS 7 – Supplier Finance arrangements.

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

2.4 New standards and interpretations not yet effective

Certain amendments to accounting standards have been published that are not mandatory for 31 December 2024 reporting periods and have not been early adopted by the Company. These amendments are not expected to have a material impact on the entity in the current or future reporting periods and on foreseeable future transactions.

- Amendments to IFRS 9 and IFRS 7 relating to the classification and measurement of financial instruments.
- IFRS 18 Presentation and disclosure in Financial Statements.
- IFRS 19 Subsidiaries without Public Accountability updated disclosure guidance.

2.5 Revenue recognition

The Company's principal performance obligation is to provide budget hotel accommodation and other goods and services to guests. Revenue includes rooms revenue, food and beverage sales, Wi-Fi and car park sales, which are recognised when the guests stay, net of trade discount and VAT. When payment is received at the time of room booking, prior to arrival date, a liability for prepaid room purchases is recognised and held on the balance sheet as a contract liability. Revenue is recognised when the customer stays. Stays that span multiple nights are spread across the stay. A proportion of the prepaid room purchases would be non-refundable on cancellation of the room booking, with revenue being recognised once the booking is cancelled or the stay date passes.

Note 4 discloses the disaggregated revenues of the Company, detailing the revenue from hotel accommodation and food and beverage, as well as Other revenue, which is predominantly franchise and management fees, which are recognised in line with accommodation revenue at the point of stay.

Under management agreements, the Company's performance obligation is to provide hotel management services. Base and incentive management fees are typically charged. Base management fees are typically a percentage of total hotel revenues and incentive management fees are generally based on the hotel's profitability. Both are treated as variable consideration. Base management fees are recognised as the underlying hotel revenues occur. Incentive management fees are recognised over time when it is considered highly probable that the related performance criteria will be met, provided there is no expectation of a subsequent reversal of the revenue.

Franchise fees are made up of a percentage of total hotel revenues, which are recognised as the underlying hotel revenues occur, and a fixed fee per reservation, recognised at booking date.

2.6 Non-underlying items

Management classify non-underlying items to be those that are considered to be significant in nature and quantum and not in the normal course of business or are consistent with items that were treated as non-underlying in prior periods. Separate presentation of these items is intended to enhance understanding of the financial performance of the Company in the particular year under review and the extent to which results are influenced by material, unusual and/or non-recurring events. Non-underlying items are separately disclosed in note 7.

2.7 Leasing

The Company's leasing activities and how these are accounted for
The Company leases various properties, all but a few being hotel properties. Rental contracts are typically made for fixed periods of 25 years or 35 years but may have extension options as described below. Lease terms are negotiated on an individual basis and contain a range of different terms and conditions. The lease agreements do not impose any financial covenants, but leased assets may not be used as security for borrowing purposes.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each year. The lease liability is reduced by the lease capital repayment portion of the rental. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

2.7 Leasing (continued)

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable
- variable lease payment that are based on an index or a rate
- amounts expected to be payable by the lessee under residual value guarantees
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option, and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be determined, or the incremental borrowing rate.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received, and
- any initial direct costs

Variable lease payments

Variable lease payments that depend on sales are recognised in profit or loss in the year in which the condition that triggers those payments occurs. These are not included in the lease liability until they take effect and the lease liability is then reassessed and adjusted accordingly.

Extension and termination options

a) Lessee options

Due to a property lease term typically being for 25 years or 35 years there is usually insufficient evidence to support the consideration of lease extension and termination options until 3 years prior to the termination date (in line with our 3 year planning process) unless commercial negotiations have commenced sooner. They are therefore excluded from the measurement of the lease liability until considered reasonably certain.

b) Lessor options

Lessor only extension rights apply to a number of our properties and as required by IFRS 16 the period of the option to extend the lease is included as part of the overall lease term.

As a lessee

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and less any lease incentives received. End of lease restoration costs are excluded from the initial cost as lease properties are continuously maintained and refurbished.

The right of use asset is subsequently depreciated using the straight line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset and the end of the lease term. The estimated useful lives of right-of use assets are determined by the contractual terms of the leases, taking into account break clauses and lease extension options as set out above. In addition, the right-of use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be determined, the incremental borrowing rate specific to that lease. Generally, the Company uses the incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable
- variable lease payment that are based on an index or a rate
- amounts expected to be payable by the lessee under residual value guarantees
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option, and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each year.

The lease liability is re-measured when there is a change in future lease payments arising from a change in an index or rate or when there is a lease modification. When the lease liability is re-measured in this way, a

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

2.7 Leasing (continued)

corresponding adjustment is made to the carrying amount of the right- of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low-value assets

The Company has elected to recognise all its property right-of-use assets and lease liabilities. It has elected not to recognise short-term leases that have a lease term of 12 months or less and leases of low-value assets.

As a lessor

When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. The lease classification of a sub-lease is also based on an assessment of the risks and rewards of ownership of the right-of-use-asset arising from the head lease, in particular whether or not the risks and rewards of ownership lie with the lessor.

2.8 Foreign currencies

Transactions and balances

The presentational and functional currency of the Company is sterling (GBP). Foreign currency transactions are translated into the functional currency using average exchange rates over the financial year. Assets and liabilities are translated into sterling at rates prevailing at the balance sheet date. All resulting exchange differences are recognised in other comprehensive income.

2.9 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

The tax payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantially enacted by the balance sheet date.

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amount of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from the initial recognition of goodwill or from initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries except where the Company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all, or part of, the deferred tax asset to be utilised.

Deferred tax is calculated at the tax rates that are expected to apply in the year when the liability is settled or the asset realised. Deferred tax is charged or credited to the income statement, except when it relates to items charged or credited to other comprehensive income or to equity, in which case the deferred tax is also dealt with in other comprehensive income or in equity.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

2.10 Intangible assets

Intangible assets acquired separately from a business are carried initially at cost. An intangible asset acquired as part of a business combination is recognised at fair value at the acquisition date. Goodwill is not amortised but reviewed for impairment annually, or more frequently if events or changes in circumstances indicate that the carrying value may be impaired.
IT software is measured initially at purchase cost and is amortised on a straight line basis over its expected useful life of three years. Cost includes the original purchase price of the assets and the costs attributable to bringing the asset to working condition for its intended use. The values attributed are reviewed for impairment if events or changes in circumstances indicate that their carrying value may be impaired.

2.11 Property, plant and equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation and any provision for impairment. Cost includes original purchase price of the assets and the costs attributable to bringing the asset to its working condition for its intended use.

These are depreciated on a straight line basis, over their estimated useful lives as follows:

- Freehold land is not depreciated.
- Freehold buildings are depreciated to their estimated residual values over periods up to fifty years.
- Long leasehold buildings are depreciated to their estimated residual values over fifty years or, where
- shorter, their remaining lease periods.
- Fixtures and fittings are depreciated over five years for plant and machinery, fixtures, fittings, equipment and over three years for information technology hardware.
- Assets under construction are not depreciated.

Residual values and useful lives are reviewed and adjusted if appropriate, at each balance sheet date. Gains and losses on disposal are determined by comparing the proceeds with the carrying amount and are recognised in the income statement within Profit/Loss on disposal of fixed assets.

2.12 Impairment of tangible and intangible assets

At each balance sheet date, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. An intangible asset with an indefinite useful life is tested for impairment annually and whenever there is an indication that the asset may be impaired. The Company identifies the smallest possible cash-generating unit as each individual hotel.

The recoverable amount is the higher of the fair value less costs to sell and value in use of the asset. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of the asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised as an expense immediately.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but only to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised in profit or loss immediately.

2.13 Inventory

Inventory comprises food, bar stocks and hotel consumables and are stated at the lower of cost and net realisable value. Cost is determined on a first in first out basis.

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

2.14 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, demand deposits, and other short-term highly liquid investments. Cash equivalents such as money market funds, short term deposit and credit card debtors are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

2.15 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants.

2.16 Trade receivables

Trade receivables are mainly amounts due from an external financial service provider who collect payments from customers using our loyalty card scheme to pay after booking. Trade receivables are initially measured at fair value and are expected to be received within 12 months and are therefore classed as current assets. The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables.

2.17 Financial liabilities and equity

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Equity instruments issued by the Company are recorded at the proceeds received net of any direct issue costs. Financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs. Financial liabilities such as the external bonds were reviewed to ensure they were a modification and not an extinguishment of the previous bonds by using the qualitative and quantitative test to test for significant change.

2.18 Trade payables

Trade payables are initially measured at fair value and are subsequently measured at amortised cost using the effective interest method.

2.19 Pension costs

The Company offers a defined contribution scheme to its employees by way of recommending a third party stakeholder scheme with The Scottish Widows plc and the National Employment Savings Trust (NEST). The amount charged to the income statement for this scheme in respect of pension costs and other post-retirement benefits is the contributions payable by the Company in respect of the year. Differences between Company contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

2.20 Provisions

Provisions are recognised when the Company has a present obligation as a result of a past event, and it is probable that the Company will be required to settle that obligation. Provisions are measured at the Directors' best estimate of the expenditure required to settle the obligation at the balance sheet date and are discounted to present value where the effect is material.

2.21 Share Capital

Ordinary share capital is classified as equity. Incremental costs directly attributable to the issue of new ordinary shares are shown in equity as a deduction, net of tax, from the proceeds.

2.22 Share Based Payments

The Company's ultimate parent company, Anchor Holdings SCA ("Anchor"), has issued share capital to management of the Company under a Management Incentive Plan ("MIP"). Management will only receive value from their shareholding if there is an exit event and they remain in employment by the Company or another group company at the date of exit. The arrangement represents an equity-settled share-based payment. If an exit event occurs and the sale proceeds are insufficient to cover management's entitlement on the exit event, the Company is obligated to settle the arrangement. This arrangement represents a cash-settled share-based payment.

The Company has issued warrants to a small group of employees for the option to acquire share capital in Anchor on an exit event. The employees will only receive value from their shareholdings if there is an exit event and they remain in employment by the Company or another group company at the date of exit. The arrangement constitutes an equity-settled share-based payment. If an exit event occurs and the sale proceeds are insufficient to cover the employee's entitlement on the exit event, the Company is obligated to settle the arrangement. This arrangement represents a cash-settled share-based payment.

2 SIGNIFICANT ACCOUNTING POLICIES (continued)

2.22 Share Based Payments (continued)

Equity-settled
Equity-settled share-based payments are measured at fair value at the date of grant by reference to the fair value of the equity instruments granted using a Binomial Lattice model. The fair value determined at the grant date is expensed on a straight-line basis over the vesting period, based on the estimate of shares that will eventually vest. A corresponding adjustment is made to equity.

The expense in relation to options over Anchor's shares granted to employees of the Company is recognised by the Company as a capital contribution.

Modifications and cancellations
When the terms and conditions of equity-settled share-based payments at the time they were granted are subsequently modified, the fair value of the share-based payment under the original terms and conditions (the "original fair value") and under the modified terms and conditions (the "modified fair value") are both determined at the date of the modification. Any excess of the modified fair value over the original fair value is recognised over the remaining vesting period in addition to the grant date fair value of the original share-based payment. The share-based payment expense is not adjusted if the modified fair value is less than the original fair value.
Cancellations or settlements (including those resulting from employee redundancies) are treated as an acceleration of vesting and the amount that would have been recognised over the remaining vesting period is recognised immediately.

Cash-settled
For cash-settled share-based payments the goods or services received are measured at fair value with a corresponding liability which is remeasured to fair value at each reporting date. Changes in fair value are recognised through profit or loss.

3 CRITICAL ACCOUNTING JUDGEMENTS AND ESTIMATION UNCERTAINTIES

The preparation of the financial statements in conformity with generally accepted accounting principles requires the Directors to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting year. Estimates and judgements are based on historical experience and expectations of future events that are believed to be reasonable under the circumstances. Actual results in the future could differ from those estimates. In this regard, the Directors believe that the critical accounting policies where judgements or estimations are necessarily applied are summarised below.

Critical Accounting Judgements

Intercompany
Management have classified intercompany receivables as current assets and, as in prior years, management expect these balances to increase and decrease to support the commitments of other Group entities.

Critical Accounting Estimates

Discount rate - Leases
Management use estimation in determining the appropriate discount rates to apply when new leases are entered into and lease modifications are calculated.
If a 2.25% point increase or deduction in discount rate was applied across the Travelodge Hotels Limited estate the total value of Right of use assets and Lease liabilities will decrease by £396m or increase by £518m respectively.

Deferred Tax Asset
Tax assets are not recognised unless it is probable they will result in future economic benefit to the Group. Management has estimated the extent to which deferred tax assets are recoverable, utilising Board approved forecasts as a base for future taxable income, against which the deferred tax asset can be offset.
The total available deferred tax asset is £79.1m (net of deferred tax liabilities), of which £50.8m has been recognised. The £79.1m of available deferred tax assets includes those derived from historical losses, of which £18.5m has been recognised. These losses arose in the UK and are unrestricted. Longer term forecasting is inherently uncertain. As a result, a risk-weighting has been applied to the long term forecast

Critical Accounting Estimates (continued)
Deferred Tax Asset (continued)

(based on Board approved forecasts for 5 years plus extrapolation) to determine the deferred tax asset that has been recognised.
Based on the extrapolated forecast, prior to risk-weighting, the available deferred tax asset would take 9 years to be fully utilised, assuming taxable income from year 5 onwards remains consistent.
A 1%pt reduction in assumed RevPAR growth in year 2 onwards results in a £6m reduction in the deferred tax asset recognised.
A 1%pt reduction in the assumed EBITDA margin % growth in year 3 onwards results in a £7m reduction in the deferred tax asset recognised.

4 REVENUE

Revenue of £1,008.0m (2023: £1016.5m) represents amounts derived from the provision of goods and services wholly within the UK and Ireland which fall within the Company's ordinary activities after the deduction of trade discounts and value added tax. All revenue relates to the principal activity of the Company, which is the supply of hotel rooms.

	2024	2023
	£m	£m
Revenue from accommodation related sales [1]	940.9	953.9
Revenue from food and beverage sales	63.6	59.2
Other Revenue [2]	3.5	3.4
Total Revenue	**1,008.0**	**1,016.5**

[1] Accommodation related sales includes Wi-Fi and car parking sales
[2] Other revenue includes revenue from franchise fees and managed hotels

5 OPERATING EXPENSES

	2024	2023
	£m	**£m**
Cost of goods sold	63.1	57.5
Employee costs (note 8)	260.9	241.2
Fees payable to the Company auditors[1]		
- audit for the financial statements	0.2	0.2
- non-audit services	-	-
Utilities (energy and water)	45.6	42.7
Business rates	34.6	33.4
Other hotel costs[2]	34.2	37.7
Other site insurance costs	9.2	9.4
Other operating expenses[3]	124.9	124.8
Operating expenses	**572.7**	**546.9**

(1) Fees payable for the audit of the Company were £0.2m (2023: £0.2m). During the year the Company also paid £nil (2023: £nil) on behalf of other group companies for the audit of their financial statements. Non-audit services of £nil (2023: £nil) were incurred.
(2) Other hotel costs include maintenance costs, cleaning materials and equipment, refuse and hotel project costs.
(3) Includes non-underlying items (note 7), insurance, commissions, transaction fees, marketing costs and systems costs.

6 OTHER INCOME

	2024	2023
	£m	£m
Compensation for loss of earnings	0.7	-
Rent receivable[1]	4.5	5.5
Rent payable (third party landlords) [2]	(0.6)	0.2
Other income[3]	2.4	0.6
Total other income	7.0	6.3

(1) Rent receivable relates to sublet income.

(2) Rent receivable/(payable) of £(0.6)m (2023: £0.2m) relates to turnover rent (including the payables balances due to rental amounts due to the performance of the business) and the prior year relates to accrued rent payment in relation to the CVA.

(3) Other income mainly consists of an access road compensation payment and compensation for room damage and smoking fines.

The comparative figure for Other Income is the combination of Net Rent and Other Income which are now reported in one line.

7 NON-UNDERLYING ITEMS

	2024	2023
	£m	£m
Bonus amounts paid in relation to refinancing the Group's debt	-	(7.4)
Bonuses relating to other corporate activity	(2.5)	-
Share based payment scheme	(8.1)	(7.0)
Professional fees	(0.5)	-
Operating expenses	**(11.1)**	**(14.4)**
Rent-CVA excess cumulative EBITDA rent payment	-	0.9
Other income	0.7	-
Reversal of impairment of property plant & equipment & right of use assets	-	7.7
Loss on disposal of assets	-	0.3
Total non-underlying debit (before taxation)	**(10.4)**	**(5.5)**
Corporation tax benefit of non-underlying items	0.6	1.7
Total non-underlying impact	**(9.8)**	**(3.8)**

Non-underlying items (before taxation) were a net charge of £10.4m for the year ended 31 December 2024 (31 December 2023: charge of £5.5m). Within Operating Expenses, there are non-underlying charges of £2.5m related to employee bonuses in respect of the acquisition of the 66 hotels by PropCo and other corporate activity. The acquisition was not in the ordinary course of business and not a recurring cost, therefore considered to be non-underlying in nature. £8.1m for employee costs relates to the 2022 management incentive plans. The incentive plans are considered to be non-underlying given they are a one-off issuance, and the timing and value of the vesting are linked to an exit event, the timing of which is uncertain. Other income contains £0.7m of income received in relation to compensation for loss of earnings from a landlord for a hotel closure due to fire safety deficiencies by the landlord. This is considered to be a one-off as it isn't income as part of the usual course of business and it wouldn't be expected to happen again. Professional fees relate to one-off risk and compliance costs and legal costs relating to the restructure of the Group. The Company's policy in respect of non-underlying items is described in Note 2.
Non-underlying items (before taxation) were a net charge of £5.5m for the year ended 31 December 2023 being the release of the CVA accrued cost of £0.9m, a £7.7m reversal of impairment provisions and a £0.3m profit on disposal of assets relating to the forced closure of our hotel in Bedford Wyboston following a compulsory purchase order from National Highways. There were also charges of £7.4m for employee bonuses in relation to the bond refinancing and £7.0m relating to the management incentive plans issued in 2022.

8 INFORMATION REGARDING DIRECTORS AND EMPLOYEES

The Directors of the Company are considered to be the key management of the Company.

	2024	2023
	£m	£m
Directors' emoluments		
Directors' emoluments	3.3	7.4
Share based Payments	4.6	4.2
Total	7.9	11.6
Remuneration of the highest paid Director	3.8	3.7
	Number	**Number**
Number of Directors accruing benefits under the defined contribution scheme	-	-

	2024	2023
	£m	£m
Employees costs during the year (including Directors)		
Wages and salaries	231.2	216.1
Social security costs	15.4	12.7
Other pension costs	6.2	5.4
Share based payments	8.1	7.0
Total employee costs	260.9	241.2

In 2024, £1.8m of directors' emoluments (which exclude employer's national insurance) (2023: £4.3m) was in respect of incentives paid in relation to the refinancing and other exceptional corporate activities, which have been charged to non-underlying items (together with employer's national insurance).

Number of Directors who exercised share options during the year was 2 (2023: nil).

One of the non-executive directors of the Group is remunerated at the direction of the ultimate owner.

Equity Share Based Payment charges of £8.1m (2023: £7.0m), have arisen due to the introduction of the Management Incentive Plan introduced in 2022 (further described in note 23). The amount attributable to the highest paid director in the year was £3.0m (2023: £1.1m).

8 INFORMATION REGARDING DIRECTORS AND EMPLOYEES (continued)

In 2024, £4.1m (2023: £3.2m) of employee costs were capitalised during the year in respect of employees working on IT and hotel refit capital projects.

	2024 Number	2023 Number
Average FTE number of persons employed[1]		
- Monthly	1,736	1,709
- Weekly	7,128	6,314
	8,864	8,023

	2024 Number	2023 Number
Total number of persons employed[2]	12,991	12,891

(1) Average FTE number of persons employed includes Executive Directors.
(2) Total number of persons employed includes Executive Directors.

The total number of employees includes all employees whether full time or part time. The average FTE number of employees has been calculated as the average FTE number of people who were included on the Company's payroll during the year.

9 FINANCE COSTS

	2024 £m	2023 £m
Finance fees	-	(0.3)
Interest on bank loans	0.5	0.5
Interest payable to Group undertakings	9.4	9.9
Interest on lease liabilities	211.2	206.5
Finance costs	221.1	216.6

10 FINANCE INCOME

	2024 £m	2023 £m
Bank interest income	10.9	7.8
Interest income on related party loans (note 29)	0.1	0.1
Interest receivable from Group undertakings	49.3	37.8
Finance Income	60.3	45.7

11 INCOME TAX

	2024 £m	2023 £m
Current tax		
Provision for uncertain tax position	-	-
Adjustment in respect of previous years	-	(0.7)
UK Corporation tax	0.5	1.9
Total current tax charge	0.5	1.2
Deferred tax		
Recognition of losses and reversal of temporary timing differences	9.2	(54.8)
Adjustment in respect of previous years	(1.8)	-
Effect of change in tax rate	-	(3.5)
Total deferred tax charge / (credit) (note 23)	7.4	(58.3)
Total tax charge / (credit)	**7.9**	**(57.1)**

The main rate of UK corporation tax was 25% (2023: 23.52%). The prior year was a blended rate due to the change in tax rate substantially enacted in April 2023.

Deferred tax balances have been measured at a rate of 25.0% (2023: 25.0%), being the rate applicable at the balance sheet date and the rate at which the deferred tax is expected to unwind.

Current corporation tax is calculated at 25% (2023: 23.52%) of the estimated assessable profit for the year.

The total charge for the year can be reconciled to the profit per the income statement as follows:

	2024 £m	2023 £m
Profit before tax	96.9	147.2
Tax at the UK corporation tax rate of 25% (2023: 23.52%)	24.2	34.6
Effects of:		
Adjustments in respect of prior years	(1.3)	(0.7)
Items not deductible for tax purposes	5.2	5.7
Effect of change in tax rate	-	(3.5)
Amounts not recognised and non-qualifying assets	2.4	(71.5)
Tax relieved by Group losses for nil consideration	(22.6)	(21.7)
Total tax charge/(credit) for the year	**7.9**	**(57.1)**

11 INCOME TAX (continued)

The deferred tax credit/ charge arising is comprised as follows:

	Intangible and Right of Use assets £m	Tax losses and hold-over relief £m	Accelerated tax depreciation £m	Total £m
2024				
(Credit)/ charge due to movement in the year (note 23)	(1.8)	1.6	7.6	7.4
(Credit)/ charge to income statement	**(1.8)**	**1.6**	**7.6**	**7.4**
2023				
(Credit) due to movement in the year (note 23)	(1.3)	(20.1)	(36.9)	(58.3)
(Credit) to income statement	**(1.3)**	**(20.1)**	**(36.9)**	**(58.3)**

12 INVESTMENTS

	Ordinary shares in subsidiaries £m
Balance at 31 December 2023 and 31 December 2024	-

Investments held as fixed assets at 31 December 2024 and 31 December 2023 constitute ordinary shares in a subsidiary undertaking which are listed below:

Name of subsidiary undertaking	*Registered address*	*Country of incorporation*	*% of equity held*
FullMoonPropco1 Limited *	Sleepy Hollow, Aylesbury Road, Thame, Oxfordshire, OX9 3AT	Great Britain	100
FullMoonPropco2 Limited #	Sleepy Hollow, Aylesbury Road, Thame, Oxfordshire, OX9 3AT	Great Britain	100
Travelodge Holdings (Malta) Limited*	The Landmark, Level 1, Suite 2, Triq L-Ilijun, Qormi QRM3800, Malta	Malta	100

* direct investment
\# incorporated during 2024

13 INTANGIBLE ASSETS

Intangible assets 2024	Goodwill	Assets under construction[1]	IT Software[2]	Total
Cost	**£m**	**£m**	**£m**	**£m**
At 1 January 2024	3.9	5.0	12.4	21.3
Capital expenditure	-	7.3	-	7.3
Transfers between categories[3]	-	(6.7)	6.7	-
Write off fully depreciated assets	-	-	(5.3)	(5.3)
At 31 December 2024	3.9	5.6	13.8	23.3
Accumulated amortisation and impairment				
At 1 January 2024	(0.2)	-	(8.9)	(9.1)
Charge for the year	-	-	(3.9)	(3.9)
Write off fully depreciated assets	-	-	5.3	5.3
Impairment	-	-	-	-
At 31 December 2024	(0.2)	-	(7.5)	(7.7)
Carrying amount				
At 31 December 2024	3.7	5.6	6.3	15.6
At 31 December 2023	3.7	5.0	3.5	12.2

Intangible assets 2023	Goodwill	Assets under construction[1]	IT Software[2]	Total
Cost	**£m**	**£m**	**£m**	**£m**
At 1 January 2023	3.9	3.3	12.7	19.9
Capital expenditure	-	1.7	1.0	2.7
Transfers between categories [3]	-	-	-	-
Write off fully depreciated assets	-	-	(1.3)	(1.3)
At 31 December 2023	3.9	5.0	12.4	21.3
Accumulated amortisation and impairment				
At 1 January 2023	(0.2)	-	(6.5)	(6.7)
Charge for the year	-	-	(3.7)	(3.7)
Write off fully depreciated assets	-	-	1.3	1.3
Impairment	-	-	-	-
At 31 December 2023	(0.2)	-	(8.9)	(9.1)
Carrying amount				
At 31 December 2023	3.7	5.0	3.5	12.2
At 31 December 2022	3.7	3.3	6.2	13.2

(1) Assets under construction predominantly consists of costs in relation to investment in IT software. Once complete the costs are transferred to the appropriate asset category.
(2) IT software is measured initially at purchase cost and is amortised on a straight line basis over three years.
(3) Transfers between categories include £nil (2023: £0.5m) of leasehold premiums reclassified to right of use assets.

In line with its accounting policy, the Company assesses the carrying value of all cash generating units, which would include individual hotels, where there are indications of potential impairment. Impairment reviews are performed annually at the Company's year end of 31 December. Goodwill is allocated to cash generating units and any impairments are allocated against goodwill first. As a result of this review, an impairment charge of £nil (2023: £nil) has been made in the year.

14 PROPERTY, PLANT AND EQUIPMENT

An analysis of property, plant and equipment for the year ended 31 December 2024 is given below:

	Assets under construction[1]	Land[2]	Freehold and long leasehold buildings[3]	Fixtures and fittings[4]	Total
	£m	£m	£m	£m	£m
Cost					
At 1 January 2024	19.3	0.6	1.9	216.3	238.1
Additions - Capital expenditure	99.6	-	-	-	99.6
Movement on capital creditors[5]	5.2	-	-	(0.2)	5.0
Transfers	(103.6)	-	-	103.6	-
Write off fully depreciated assets	-	-	-	(36.4)	(36.4)
Disposals	-	-	-	(22.5)	(22.5)
At 31 December 2024	20.5	0.6	1.9	260.8	283.8
Accumulated depreciation					
At 1 January 2024	-	-	(0.9)	(89.6)	(90.5)
Charge for the year	-	-	-	(49.9)	(49.9)
Write off depreciation on fully depreciated assets	-	-	-	36.4	36.4
Disposals	-	-	-	12.3	12.3
At 31 December 2024	-	-	(0.9)	(90.8)	(91.7)
Carrying amount					
At 31 December 2024	20.5	0.6	1.0	170.0	192.1
At 31 December 2023	19.3	0.6	1.0	126.7	147.6

14 PROPERTY, PLANT AND EQUIPMENT (continued)

An analysis of property, plant and equipment for the year ended 31 December 2023 is given below:

	Assets under construction[1]	Land[2]	Freehold and long leasehold buildings[3]	Fixtures and fittings[4]	Total
	£m	£m	£m	£m	£m
Cost					
At 1 January 2023	6.1	0.6	1.9	215.7	224.3
Additions - Capital expenditure	75.6	-	-	-	75.6
Movement on capital creditors[5]	4.8	-	-	(5.1)	(0.3)
Transfers	(67.2)	-	-	67.2	-
Write off fully depreciated assets	-	-	-	(49.4)	(49.4)
Disposals	-	-	-	(12.1)	(12.1)
At 31 December 2023	19.3	0.6	1.9	216.3	238.1
Accumulated depreciation					
At 1 January 2023	-	-	(0.9)	(103.0)	(103.9)
Charge for the year	-	-	-	(43.2)	(43.2)
Write off depreciation on fully depreciated assets	-	-	-	49.4	49.4
Disposals	-	-	-	6.6	6.6
Impairment reversal	-	-	-	0.6	0.6
At 31 December 2023	-	-	(0.9)	(89.6)	(90.5)
Carrying amount					
At 31 December 2023	19.3	0.6	1.0	126.7	147.6
At 31 December 2022	6.1	0.6	1.0	112.7	120.4

(1) Assets under construction predominantly consists of on-going capital maintenance and refit projects. Once complete the costs are transferred to the appropriate asset category.

(2) Freehold land is stated at cost and is not depreciated.

(3) Freehold and long leasehold properties are stated at cost. Depreciation is provided on cost in equal annual instalments over the estimated remaining useful lives of the assets.

(4) Fixtures and fittings are initially measured at cost and are depreciated over three to five years.

(5) Movement on capital creditors represents the year on year movement in accrued capital expenditure at year end.

14 PROPERTY, PLANT AND EQUIPMENT (continued)

In line with its accounting policy, the Company assesses the carrying value of all cash generating units (CGU), which includes individual hotels, where there are indications of impairment. Impairment reviews are performed annually at the Company's year end of 31 December. The Company considers each trading site to be a CGU. A trading site will offer a combination of accommodation and food and beverage services. Some trading sites provide accommodation only.

An impairment trigger assessment was performed as an initial step to ascertain whether a full impairment test was required. This assessment reviewed the carrying value of each CGU against a proxy for expected future cashflows, being budget projections for 2025 extrapolated over the relevant lease term using a growth rate of 2.0% and discounted at weighted average cost of capital. The Company considered a headroom of 10% or more on this basis to be a suitable indicator that no impairment event exists. CGUs failing this assessment were then tested for impairment in full.

In assessing whether an asset has been impaired, the carrying value of the CGU is compared with its recoverable amount. The recoverable amount is the higher of its value in use and its fair value less costs of disposal and this is calculated for each site at year end.

In order to form an estimate of the value in use, the Company prepares cash flow forecasts derived from the most recent financial budgets and financial plans approved by the Directors and extrapolates cash flows beyond this time based on an estimated long term growth rate of 2.0% (2023: 2.0%). The key assumptions are consistent with past experience and with external sources of information. Reviews are performed on a site by site basis over the length of the lease. The Directors have considered the Company's financial projections and the assumptions which underpin those projections including future growth of the budget hotel sector, brand demand and occupancy.

The financial projections include the expected estimated cash outflows in order to meet the Group's net zero commitment by 2050. The impact of climate change initiatives are considered to be immaterial in the short to medium term.

The discount rate assumption has been calculated with reference to the market-weighted average pre-tax cost of capital based on a portfolio of similar hotel businesses using the Capital Asset Pricing Model as a starting point. As permitted by IAS 36, this is adjusted to reflect the estimated incremental borrowing cost of leasing for each asset based on market rates at the date of the review, in line with the methodology for assessing the variation in the discount rate by asset used to calculate the discount rate which has been used to derive the lease liabilities included on the balance sheet as a result of IFRS 16. This resulted in a weighted average pre-tax discount rate of 8.8% (2023: 9.2%).

As a result of this review, an impairment charge of £nil (2023: £nil) has been made in the year and £nil (2023: £0.6m) of the previously recognised impairment has been reversed.

15 RIGHT OF USE ASSETS

An analysis of Right of use assets for the year ended 31 December 2024 is given below:

	Property	Total
	£m	£m
Cost		
At 1 January 2024	3,142.2	3,142.2
New leases	42.3	42.3
Rent reviews and adjustments	95.7	95.7
Disposals	-	-
At 31 December 2024	3,280.2	3,280.2
Accumulated depreciation		
At 1 January 2024	(960.3)	(960.3)
Depreciation charge for the year	(120.6)	(120.6)
Disposals	-	-
Impairment reversal	-	-
At 31 December 2024	(1,080.9)	(1,080.9)
Carrying amount		
At 31 December 2024	2,199.3	2,199.3
At 31 December 2023	2,181.9	2,181.9

New leases in 2024 related to 6 sites (4 sites in 2023), including 1 site that opened in 2025. Lease adjustments of £95.7m (2023:£102.5m) mainly consist of rent reviews. Lease adjustments in 2023 included a regear of 122 hotels leased by LXi REIT plc.

15 RIGHT OF USE ASSETS (CONTINUED)

An analysis of Right of use assets for the year ended 31 December 2023 is given below:

	Property £m	Total £m
Cost		
At 1 January 2023	3,024.0	3,024.0
New leases	15.5	15.5
Transfers [1]	0.5	0.5
Rent reviews and adjustments	102.5	102.5
Disposals	(0.3)	(0.3)
At 31 December 2023	3,142.2	3,142.2
Accumulated depreciation		
At 1 January 2023	(853.8)	(853.8)
Depreciation charge for the year	(113.9)	(113.9)
Disposals	0.3	0.3
Impairment	7.1	7.1
At 31 December 2023	(960.3)	(960.3)
Carrying amount		
At 31 December 2023	2,181.9	2,181.9
At 31 December 2022	2,170.2	2,170.2

(1) Transfers relate to initial direct costs reclassified from assets under construction within intangible assets, £0.3m of which were included in capital creditors in 2022.

As permitted by IFRS 16, the Company has elected not to recognise Right of use assets in respect of short term or low value leases.

In line with its accounting policy, the Company assesses the carrying value of all cash generating units, where there are indications of potential impairment charges or reversals. Where an impairment trigger is identified, the assessment is performed annually at the Company's year end of 31 December.

As a result of this review, an impairment charge of £nil (2023: £nil) has been made in the year.

During 2020 and 2021, we impaired the assets of a number of hotels due to the significant downturn in performance and a reduced forecast of future profitability. We reassessed these hotels in 2023, given the turnaround in performance seen consistently over the past 2 years, and reversed Right of use impairments to the value of £7.1m. In 2024, there have been no reversal to impairments.

16 INVENTORY

	2024 £m	2023 £m
Finished goods held for resale	2.0	1.8
Total	2.0	1.8

Inventories are stated at the lower of cost and net realisable value. Cost is calculated on the basis of first in, first out and net realisable value is the estimated selling price less any costs to sell. Inventories recognised as an expense during the year ended 31 December 2024 amounted to £27.1m (2023: £21.8m). These were included in cost of goods sold. Write-downs of inventories to net realisable value amounted to £nil (2023: £nil).

17 INTERGROUP RECEIVABLES AND PAYABLES

Intergroup receivables
As part of the funding of the Travelodge Group, the Company makes loans to other Group companies which are used by these companies to settle other bank and bond interest obligations. Amounts owed by Group undertakings relate to these outstanding balances and associated interest charges owing from those companies. The amounts are unsecured and repayable on demand. An interest rate of 0 - 15% (2023: 0 - 10%) is charged on balances between Group undertakings.

Intergroup receivables are initially recognised at fair value and subsequently measured at amortised cost. A provision for impairment is made for expected credit losses using the expected credit loss model in accordance with IFRS 9. Allowances for expected credit losses are made based on the risk of non-payment, taking into account ageing, previous experience, economic conditions and forward-looking data. Such allowances are measured as either 12-month expected credit losses or lifetime expected credit losses depending on changes in the credit quality of the counterparty.

There were no impairment losses on intergroup receivables during the year (2023: none).

The intergroup receivables are classified as current and, as in prior years, we expect this balance to increase and decrease to support the commitments of other group entities.

Intergroup payables
As part of the funding of the Travelodge Group, the Company has received loans from other Group companies resulting from the drawdown on certain bank and bond facilities. Amounts payable to Group undertakings relate to these outstanding balances and associated interest charges owing to those companies. The amounts are unsecured and repayable on demand. An interest rate of 0 - 8% (2023: 0 - 15%) is charged on balances between Group undertakings.

An analysis of intergroup receivables and payables is presented below:

	2024 £m	2023 £m
Intergroup receivables	548.3	443.0
Intergroup payables	(73.7)	(69.8)

18 CASH AND CASH EQUIVALENTS

	2024 £m	2023 £m
Cash at bank and in hand	58.6	49.0
Other Cash[1]	2.5	6.2
Money market funds [2]	154.0	70.0
Short term deposits [3]	6.4	64.9
Total	221.5	190.1

(1) Other cash includes £2m (2023: £5.8m) of credit card debtors which are sales taken on card awaiting transfer into a main bank account.
(2) This balance relates to liquid funds invested in mutual funds by banks the Company uses. See note 22 for further information on the credit risks relating to these funds.
(3) Short term deposits are made for varying periods of time between one day and three months depending on the immediate cash requirements of the Company. They earn interest at the respective short- term deposit rates. The Company does not have material cash balances which are subject to contractual or regulatory restrictions.

19 TRADE AND OTHER RECEIVABLES

	2024 £m	2023 £m
Amounts due within 1 year:		
Trade amounts receivable		
- Gross amount receivable	10.9	10.4
- Expected credit losses	(0.5)	(0.5)
- Net amounts receivable	10.4	9.9
Other amounts receivable	13.2	4.5
Accrued income	1.8	1.2
Prepayments[1]	11.0	12.5
Loans to related parties (note 29)	2.9	2.1
Total	39.3	30.2

(1) Prepayments in 2024 mainly include prepayments of property costs and system costs.
(2) Accrued income is made up of £1.7m (2023: £1.1m) accrued income, £0.1m (2023: £0.1m) accrued rent receivable.
(3) Other amounts receivable includes loans to developer of £8.7m. These are considered fully recoverable as funds issued to developers hold the related hotel property as collateral.

Management has estimated the fair value of trade and other receivables to be equal to the book value.

The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. If a customer goes into default, we consider forward looking information on that individual customer such as industry trends. Default is defined when payment is not received per initial agreed terms. A receivable is written off when it is concluded that there are no reasonable expectations that the debt will be recovered, such as a business entering administration and approved by an appropriate authority. Loss rates are not applied to individually aging buckets. The Group estimates expected credit losses based on historical experience. A trade receivable is recognised when the amount due is unconditional, the allowance for expected credit loss relating to trade and other receivables at the year end was £0.5m (2023: £0.5m). During the year, credit losses of £nil (2023: £nil) were recognised within operating costs in the consolidated income statement.

Trade Receivable Ageing

	2024 £m	2023 £m
Current	9.5	8.7
Past due		
30 days	0.1	0.2
60 days	0.6	0.5
90+ days	0.7	1.0
Total	10.9	10.4

20 TRADE AND OTHER PAYABLES

	2024 £m	2023 £m
Trade payables	(16.3)	(6.7)
Other payables [1]	(5.0)	(2.9)
Social security and other taxation [2]	(10.6)	(6.3)
Accruals	(58.5)	(78.5)
Deferred income	(1.4)	(1.0)
Contract liabilities - Prepaid room purchases [3]	(50.7)	(42.2)
Capital payables	(10.0)	(5.0)
Amounts falling due within one year	(152.5)	(142.6)

(1) Other payables include pension fund contributions of £1.7m (2023: £1.0m).

(2) Social security and other taxation includes VAT of £5.4m (2023: £3.3m).

(3) Prepaid room purchases of £50.7m (2023: £42.2m) relate to cash received at the time of room booking prior to arrival date and is recognised when customers stay. 48% (2023: 49.4%) would be non-refundable on cancellation of the room booking, with revenue being recognised once the booking is cancelled, the stay date passes or the voucher expires. Customer stays are within 1 year of the booking date so contract liabilities at the start of the year are recognised within revenue in the year.

The Company pays its trade payables in line with the terms that it has agreed with its suppliers. Typically these terms vary from 30 days to 90 days.

Management has estimated the fair value of trade and other payables to be equal to the book value.

21 LEASE LIABILITIES

	2024 £m	2023 £m
Opening Balance	(2,574.0)	(2,504.6)
New leases	(42.3)	(15.5)
Lease Adjustments	(95.0)	(102.9)
Finance Costs	(211.2)	(206.5)
Payments	254.2	254.2
Disposals	-	1.3
Closing Balance	(2,668.3)	(2,574.0)
Amounts falling due within one year	(89.7)	(79.0)
Amounts falling after one year	(2,578.6)	(2,495.0)
Total	(2,668.3)	(2,574.0)

New leases related to 5 sites that opened during the year and 1 site that opened in 2025 (4 sites in 2023). Lease adjustments of £95.0m in 2024 mainly consisted of rent reviews. Lease adjustments of £102.9m in 2023 mainly consist of rent reviews, including a regear of 122 hotels leased by LXI REIT plc.

Lease liabilities are based on discounted future committed lease payments and therefore do not include the impact of variable lease components, short-term and low value leases. Further information regarding these payments is provided below.

Lease liabilities have been discounted at a weighted average discount rate of 9.2% (2023: 9.2%) with a range between 5.0% and 12.5% (2023: 5.0% to 12.5%) and represent leases with a weighted average remaining length, including landlord extension options, from the balance sheet date of 21.9 years (2023: 22.6 years).

Lease payments charged to the Income Statement	2024 £m	2023 £m
Variable lease payments charge not included within right of use assets	0.6	0.7
Income from subleasing right of use assets	(4.5)	(5.5)
	(3.9)	(4.8)

The total cash outflow for leases in 2024 was £254.2m (2023: £254.2m).

22 FINANCIAL ASSETS AND LIABILITIES

Financial instrument categories	2024 £m	2023 £m
Cash and cash equivalents	221.5	190.1
Financial assets at amortised cost [1]	574.8	459.5
Financial liabilities [2]	(2,831.9)	(2,736.9)
Net funding including finance leases	(2,035.6)	(2,087.3)

(1) Financial assets at amortised cost of £574.8m (2023: £459.5m) are made up of intergroup receivables of £548.3m (2023: £443.0m), trade receivables £10.4m (2023: £9.9m), other receivables of £13.2m (2023: £4.5m) and loans to related parties of £2.9m (2023: £2.1m).

(2) Financial liabilities of £2,831.9m (2023: £2,736.9m) are made up of lease liabilities of £2,668.4m (2023: £2,574.0m), intergroup payables of £73.7m (2023: £69.8m), trade payables of £16.0m (2023: £6.7m), capital payables of £10.0m (2023: £5.0m), accruals of £58.5m (2023: £78.5m) and other payables of £5.2m (2023: £2.9m).

The lease liabilities represent the present value of future lease payments in respect of the right of use assets.

Revolving credit facility (RCF) and super senior term loan
In April 2023 the Company secured a revolving credit facility ("RCF") of £50.0m. The new RCF facility is available to the Company until October 2027. At 31 December 2024, the revolving credit facility was entirely undrawn (2023: £nil).

Under the RCF, the Company's covenant requirements, which apply if drawings under the RCF are £32m or more, are tested at the end of March, June, September and December to ensure a leverage ratio (Net leverage to EBITDA) of 5.5:1 or lower.

23 DEFERRED TAX ASSET

The following are the major deferred tax (liabilities) and assets recognised by the Company which are expected to be recovered or settled more than twelve months after the reporting year end and movements thereon during the forthcoming year.

An analysis of deferred tax for the year ended 31 December 2024 is given below:

Deferred tax	**Balance at 1 Jan 2024**	**Credited/ (Charged) to income statement**	**Balance at 31 Dec 2024**
Tax losses	20.1	(1.6)	18.5
Capital Allowances	22.8	(6.1)	16.7
Leases	14.8	0.2	15.0
Other short term timing differences	0.6	0.1	0.7
Net deferred tax asset	**58.3**	**(7.4)**	**50.9**
Amounts expected to be recovered in:			
No more than 12 months after the reporting year	3.7		3.3
More than 12 months after the reporting year	54.6		47.6
Net deferred tax asset	**58.3**		**50.9**

The main rate of UK corporation tax was 25.0%. The deferred tax assets have been recognised at the rate expected to apply on utilisation.

There is an unrecognised deferred tax asset of £28.3m (2023: £36.5m) relating to tax losses and other timing differences.

The Group carries out an assessment of the recoverability of these losses for each reporting period. As a result of recent performance, management consider it probable that the Group will be able to recover a portion of the temporary differences and losses in the future as described in Note 2, and as a consequence have recognised additional deferred tax assets in excess of the deferred tax liabilities totalling £50.9m.

The UK deferred tax liability has been offset against the UK deferred tax asset, to the extent that a legal right of set-off exists.

To determine a reasonable loss utilisation forecast a risk weighting has been applied to an extrapolated long term forecast. Prior to risk weighting, it would take 9 years to fully utilise the losses accumulated.

Movement in net deferred tax asset	**2024**	**2023**
	£m	**£m**
Beginning of year	58.3	-
Credit/(charge) to income statement	(7.4)	58.3
Reclassified from /(to) current tax	-	-
End of year	**50.9**	**58.3**

24 PROVISIONS

	2024			2023		
	Property £m	Other £m	Total £m	Property £m	Other £m	Total £m
At 1 January	(0.6)	(2.2)	(2.8)	(0.6)	(2.6)	(3.2)
Amount utilised	-	0.3	0.3	-	0.2	0.2
Additional provision recognised	-	(0.4)	(0.4)			
Release of provisions	0.4	-	0.4	-	-	-
Transfer to accruals	-	-	-	-	0.2	0.2
At 31 December	(0.2)	(2.3)	(2.5)	(0.6)	(2.2)	(2.8)
The balance can be analysed as:						
Due in less than one year	-	(0.6)	(0.6)	-	(0.4)	(0.4)
Due in greater than one year	(0.2)	(1.7)	(1.9)	(0.6)	(1.8)	(2.4)
Total	(0.2)	(2.3)	(2.5)	(0.6)	(2.2)	(2.8)

Provisions of £2.5m as at 31 December 2024 consist of public liability claims of £0.7m and amounts relating to future rates liabilities, property and other provisions of £1.6m in addition to onerous contract provisions of £0.2m within the Property category.

Public Liability
A provision of £0.7m was brought forward relating to the estimated claims against the Company from employees and the public. The claims result from alleged accidents and injuries sustained in the Group's premises. During the year, the provision was re-assessed and £nil (2023: £0.2m) transferred to accruals.

Onerous Contracts
These relate to the rates payable on 4 empty and historic subleased restaurant units and provision has been made for the period that the sublet or assignment of the lease is not possible. Provisions are expected to be utilised over a period of 5 years. The provision at the start of the year was £0.6m and £0.4m has been utilised in 2024.

Other Provisions
Additional provisions were recognised in the year of £0.4m relating to risk and compliance cases.

25 SHARE CAPITAL AND OTHER RESERVES

Other reserves of £20.6m on the balance sheet within Total Equity, is in relation to the introduction of the Management Incentive Plan in 2022. The charge of £8.1m to the income statement for Equity Share Based Payments is described within this note.

Management Incentive Plan ("MIP")
Under the MIP, employees are issued Class L and Class L1, or Class K and Class K1 Ordinary Shares in Anchor Holdings S.C.A. ("Anchor"). A Class L, L1, K and K1 Shareholder employee can only benefit from the value of the Ordinary Shares if they are employed by the Company or a group company on an exit event or partial exit.

The number of Shares in issue under the MIP are as follows:

	2024		2023	
Class L/L1 shares	**Number of options**	**Weighted average issue price £**	**Number of options**	**Weighted average exercise price £**
Outstanding at 1 January	156,394	3.74	156,394	3.74
Issues during the year	-	-	-	-
Shares brought back during the year	(42,260)	3.74	-	-
Outstanding at 31 December	114,134	3.74	156,394	3.74

	2024		2023	
Class K/K1 shares	**Number of options**	**Weighted average issue price £**	**Number of options**	**Weighted average exercise price £**
Outstanding at 1 January	200	4,495	200	4,495
Issues during the year	-	-	-	-
Shares brought back during the year	(66)	4,495	-	-
Outstanding at 31 December	134	4,495	200	4,495

Warrants Agreement
Under the warrant agreements, employees are issued warrants to subscribe to Class L and Class L1 Ordinary Shares in Anchor Holdings S.C.A. ("Anchor"). Following exercise of the warrants, a Class L and Class L1 Shareholder can only benefit from the value of the Class L and Class L1 Ordinary Shares if they are employed by the company or a group company on an exit event or partial exit.

The number warrants granted to subscribe for Class L and Class L1 Shares are as follows:

	2024		2023	
Class L/L1 shares - warrants	**Number of options**	**Weighted average issue price £**	**Number of options**	**Weighted average exercise price £**
Outstanding at 1 January	31,314	-	31,314	-
Issues during the year	-	-	-	-
Outstanding at 31 December	31,314	-	31,314	-

The warrants have not been exercised.

The subscription of Class L, L1, K and K1 Shares represent an equity-settled share-based payment. The warrants granted for the subscription of Class L and Class L1 Shares also represent an equity-settled share-based payment.

25 SHARE CAPITAL AND OTHER RESERVES (continued)

Equity-settled share-based payments
The weighted average fair value of options granted in the year was determined using the Binomial Lattice pricing model. The Binomial Lattice model is considered to apply the most appropriate valuation method due to the relatively short contractual lives of the options and the requirement to exercise within a short period after the employee becomes entitled to the shares (the "vesting date").

Service conditions, which includes continued employment, are taken into account by adjusting the number of options expected to vest at each reporting date.

Estimation has been applied in determining the accounting charge, within the valuation model itself, such as revenue growth and the discount rate on a pre-IFRS 16 basis (10.9% June subscription, 11.4% November warrants issue), and the vesting date, which is assumed to be 5 years from the date of the first issue. The vesting date was previously assumed to be 3 years (expiring in June 2025) and it is management's belief that is not expected to occur by this original date, therefore the assumed vesting date has been reviewed and amend to 5 years.

During the period, participants of the MIP agreed to a share transfer for a third of their shares in issue. This constitutes a modification of a performance condition for the shares. As such, the full Share Based Payment charge for the associated shares and the incremental fair value have been recognised in the accounts.

The resulting charge is £8.1m in respect of costs for employees (2023: £7.0m in respect of costs for employees).

Cash-settled share-based payments
In addition to the MIP and warrant arrangements, the Company and employees of the MIP and warrants have entered into an arrangement whereby the Company is obligated to settle the arrangement in cash should the proceeds be insufficient to cover the Class L, L1, K and K1 shareholders entitlement on an exit event. This arrangement represents a cash-settled share-based payment.

There is only a remote probability that the cash settled arrangement would arise, and therefore the value of the liability has been measured at nil. As a result, there is no liability for a future cash settlement recognised in the accounts.

26 CALLED UP SHARE CAPITAL

	2024 £m	2023 £m
Issued and fully paid:		
300 Million (2023: 300 Million) ordinary shares of £1 each	300.0	300.0

27 CAPITAL COMMITMENTS

Contracted future capital expenditure not provided for in these financial statements predominantly relates to expenditure on the refurbishment and maintenance of current hotels. At 31 December 2024 the capital commitment not provided for in the financial statements, subject to satisfactory practical completion, was £23.3m (2023: £17.5m).

28 CONTINGENT LIABILITIES AND FINANCIAL GUARANTEES

The Company has issued financial guarantees in respect of TVL Finance PLC, a fellow group undertaking. The likelihood of these financial guarantees being called is considered to be remote, and therefore the estimated financial effect of issuance is £nil (2023: £nil).

In common with occupiers of buildings throughout the UK, we continually assess safety related factors associated with our buildings. As problems are identified, we may face the costs of rectification. It is impossible to meaningfully quantify the extent of such costs as may arise.

29 RELATED PARTY TRANSACTIONS AND ULTIMATE CONTROLLING PARTY

At 31 December 2024, the Directors regard Anchor Holdings SCA, a company incorporated in Luxembourg, as the ultimate parent undertaking. The Group is currently majority owned indirectly by funds managed by GoldenTree Asset Management LP. A minority stake is held by certain senior managers under the Management Incentive Plan. During 2022 the Group extended non-interest bearing loans to participants in its Management Incentive Scheme, of which the value to related parties (Directors) totalled £1.2m.

Thame and London Limited was the parent undertaking of the largest group of undertakings to consolidate the group's financial statements at 31 December 2023. Following the group restructure in 2024, Thame and London Limited was acquired by T&L Holdco Limited and became a 100% subsidiary of that company. T&L Holdco Limited is now the ultimate UK parent to consolidate the group's financial statements at 31 December 2024.The consolidated financial statements of Thame and London Limited (smallest undertaking to consolidate the results of Travelodge Hotels Limited) and of T&L Holdco Limited are available from their registered office at Sleepy Hollow, Aylesbury Road, Thame, Oxfordshire, OX9 3AT.

The Company's immediate parent company is Full Moon Holdco 7 Limited.
Details of the Company's subsidiaries are set out in Note 12 of these accounts.
Details of the subsidiaries of T&L Holdco Limited are set out in Note 14 of the consolidated group accounts of T&L Holdco Limited.

The Company has taken advantage of the reduced disclosures allowed by paragraph 8 (k) of FRS 101 and has not presented details of transactions with related parties. Full details of related party transactions within the Group can be found in note 28 of the consolidated financial statements of T&L Holdco Limited.

Travelodge Hotels Limited has agreed to make loan facilities available to Anchor Holdings SCA and Anchor Holdings G.P.S.A up to a maximum of £2.2m (2023: £2.2m) and £0.9m (2023: £0.9m) respectively. At the balance sheet date, Anchor Holdings SCA and Anchor Holdings G.P.S.A had utilised £1.8m (2023: £1.2m) and £0.7m (2023: £0.7m) respectively with no repayment of principal by either entity during the year (2023: £nil).

The loans accrue interest at 5.1% (2023: 5.1%) per annum. Interest accrued in the year was £0.1m (2023: £0.1m), with Anchor Holdings SCA making no payments of interest in 2024 (2023: £nil). The total interest accrued at the balance sheet date was £0.4m (2023: £0.3m).

In 2024, following the acquisition of 66 hotels from LXi REIT plc, the Company leased 66 hotels from TL Propco1 Limited, Grove Property Unit Trust 2, Grove Property Unit Trust 5, Grove Property Unit Trust 9 and Grove Property Unit Trust 11. These are all wholly owned subsidiary undertakings within the T&L Holdco Limited group. The 66 hotels are leased under the same terms as the previous leases with LXi REIT plc to the Company.

30 POST BALANCE SHEET EVENTS

On 20 January 2025 three new wholly owned subsidiaries of Travelodge Hotels Limited were incorporated, those being Full Moon Propco 3 Limited, Full Moon Propco 4 Limited and Full Moon Propco 5 Limited.

In March 2025, Louvre Hotels Group announced that it had exchanged contracts unconditionally on the sale of 9 UK hotels to the Travelodge Group for £30.5m. The acquisition is expected to complete in late Spring. The hotels will be acquired by a subsidiary of Travelodge Hotels Limited and the transaction will be funded through cash.

ALTERNATIVE PERFORMANCE MEASURE (APM)

The Company uses the non-statutory alternative performance measures 'EBITDA (adjusted)' and 'Free Cash Flow' to monitor the financial performance of the Company internally. This measure is not a statutory measure in accordance with IFRS.

We report these measures because we believe it provides both management and other stakeholders with useful additional information about the financial performance of the Company's businesses.

APMs are not defined by IFRS and therefore may not be directly comparable with similarly titled measures reported by other companies. APMs should be considered in addition to, and are not intended to be a substitute for, or superior to, IFRS measures.

We believe the pre-IFRS measures are useful metrics for investors to understand our results of operations, profitability and ability to service debt and because they permit investors to evaluate our recurring profitability from underlying operating activities.

We also use these measures internally to track our business performance, establish operational and strategic targets and make business decisions. We believe EBITDA (adjusted) facilitates operating performance comparisons between periods and among other companies in industries similar to ours because it removes the effect of variation in capital structures, taxation, and non-cash depreciation, amortisation and impairment charges, which may be unrelated to operating performance. We believe EBITDA (adjusted) is a useful measure of our underlying operating performance because it excludes the impact of items which are not related to our core results of operations, including certain one-off or non-recurring items and more closely aligns the recognition of rent free periods and rent reductions in profitability with the corresponding cash impact.

In line with the Guidelines on Alternative Performance Measures issued by the European Securities and Markets Authority, we have provided additional information on the APMs used by the Company below, including full reconciliations back to the closest equivalent statutory measure.

ALTERNATIVE PERFORMANCE MEASURE (continued)

Income Statement Measures

Reference	APM	Definition
I	Pre-IFRS 16	The performance under accounting principles prior to the adoption of IFRS 16.
II	EBITDA (adjusted)	Earnings before interest, tax, depreciation and amortisation and non-underlying items[III], on a pre-IFRS 16 basis, and before rent phasing adjustment[V]. In this measure, the benefit of rent free periods agreed in the ordinary course of rent negotiation, are spread on a straight line basis until the next rent review (normally five years from initial agreement). The calculation for this measure is consistent with prior years.
III	Non-underlying items	Non-underlying items are related to items that are considered to be significant in nature and quantum and not in the normal course of business or are consistent with items that were treated as non-underlying in prior periods.
IV	Net external rent payable / receivable	Net external rent payable / receivable is the net of rent receivable and rent payable (pre-IFRS 16) before the rent phasing adjustment. External rent payable (pre-IFRS 16) before the rent phasing adjustment reflects the rental amounts accrued adjusted for rent free periods by spreading these over the period to the next rent review date (usually around five years).
V	Rent phasing adjustment	EBITDA (adjusted) is the measure used for internal management reporting. The rent phasing adjustment reflects the timing difference between the rent charge for the year in our internal management reporting measure EBITDA (adjusted) and the rent charge for the year under accounting standards pre-IFRS 16. In many of our leases we receive a rent free period at the beginning of the lease term. According to standards pre-IFRS 16, the benefit of this rent free period is recognised in our income statement as a deduction to the actual rent expense in each year, on a straight line basis, over the full life of each lease, with the unrecognised balance being held as an accrual on our balance sheet. As a result, our total pre-IFRS 16 rent expense does not reflect our cash payments of rent in any year. EBITDA (adjusted) in each year recognises the portion of the rent free credit attributable to such year as if such credit were applied on a straight line basis until the next rent review, which more closely aligns to cash payments.
VI	Like-for-like RevPAR Like-for-like occupancy Like-for-like average room rates	Revenue per available room, occupancy and average room rate (net of VAT) for UK hotels that have been open for at least two years at the end of the current year on a management reporting period basis. For management reporting purposes we use a 5-4-4 week accounting calendar. This accounting method divides our fiscal year into four quarters, each comprising two periods of four weeks and one period of five weeks. We have adopted this accounting method because it allows us to manage our business on the basis of 52 weekly periods which consistently end on the same day of the week and our like-for-like reporting is prepared on this basis for consistency.

ALTERNATIVE PERFORMANCE MEASURE (continued)

Reconciliation of Statutory Profit to EBITDA (adjusted)[II]:

	2024	2023
	£m	£m
Statutory Profit/(loss) before tax	96.9	147.2
Net Finance Costs	160.8	170.9
Operating Profit	257.7	318.1
Non-underlying Operating Items (see note 7)	10.4	5.5
Underlying Operating Profit	268.1	323.6
Depreciation, Amortisation - Underlying	174.4	160.8
Loss on disposal of fixed assets – Underlying	10.2	5.0
Rent Payable Adjustment[(1)]	(261.8)	(249.5)
EBITDA (adjusted)[II]	190.9	239.9

(1) Since the adoption of IFRS 16, operating lease rent is no longer charged to the statutory profit & loss account. Rent payable adjustment for operating leases reflects 'Pre-IFRS 16' rental amounts accrued adjusted for rent free periods by spreading these over the period to the next rent review date.

Reconciliation of Net external rent (payable) / receivable to Statutory Rent

	2024	2023
	£m	£m
Statutory Rent	(0.6)	0.2
IFRS 16 rent expense	(261.8)	(248.8)
Exceptional CVA rent payment to compromised landlords	-	(0.9)
External rent (payable)	(262.4)	(249.5)

ALTERNATIVE PERFORMANCE MEASURE (continued)

Income Statement on APM basis

The below table details the construct of EBITDA (adjusted)[1] and the reconciliation to statutory profit.

	2024			2023			Variance 2024 vs 2023 before IFRS 16[1]	
	Before IFRS 16[2]	IFRS 16 impact	Total	Before IFRS 16[3]	IFRS 16 impact	Total		Variance
	£m	£m	£m	£m	£m	£m	£m	%
Revenue	1,008.0	-	**1,008.0**	1,016.5	-	**1,016.5**	**(8.5)**	**(0.8%)**
Operating expenses	(561.6)	-	**(561.6)**	(532.5)	-	**(532.5)**	**(29.2)**	**(5.5%)**
Of which cost of goods sold	(63.1)	-	***(63.1)***	(57.5)	-	**(57.5)**	**(5.6)**	**(9.7%)**
Of which employee costs	(250.3)	-	***(250.3)***	(226.8)	-	**(226.8)**	**(23.5)**	**(10.3%)**
Of which other operating expenses	(248.2)	-	***(248.2)***	(248.2)	-	**(248.2)**	**(0.1)**	**0.0%**
Net external rent (payable) / receivable	(257.9)	261.8	**3.9**	(244.7)	249.5	**4.8**	**(13.2)**	**(5.4%)**
Other income	2.4	-	**2.4**	0.6	-	**0.6**	**1.8**	**300%**
EBITDA (adjusted)[2]	**190.9**	**261.8**	**452.7**	**239.9**	**249.5**	**489.4**	**(49.1)**	**(20.5%)**
Rent phasing adjustment[4]	-	-	**-**	4.3	(4.3)	-	**(4.3)**	**(100%)**
Loss on disposal of fixed assets	(10.2)	-	**(10.2)**	(5.5)	0.5	**(5.0)**	**(4.7)**	**(85.5%)**
Depreciation	(50.0)	(120.5)	**(170.5)**	(41.5)	(115.6)	**(157.1)**	**(8.6)**	**(20.7%)**
Amortisation	(14.9)	11.0	**(3.9)**	(13.9)	10.2	**(3.7)**	**(1.0)**	**(7.2%)**
Operating profit / (loss) (before non-underlying items)	115.8	152.3	**268.1**	183.3	140.3	**323.6**	**(67.7)**	**(36.9%)**
Finance costs	(11.6)	(209.5)	**(221.1)**	(11.8)	(204.8)	**(216.6)**	**0.2**	**1.7%**
Finance income	60.3	-	**60.3**	45.7	-	**45.7**	**14.6**	**31.9%**
Profit/(loss) for the year (before non-underlying items)	164.5	(57.2)	**107.3**	217.2	(64.5)	**152.7**	**(52.9)**	**(24.4%)**
Non-underlying items			**(10.4)**			**(5.5)**		
Profit/(loss) before tax			**96.9**			**147.2**		

ALTERNATIVE PERFORMANCE MEASURE (continued)

Finance costs

	2024 £m	2023 £m
Interest payable to Group undertakings	9.4	9.9
Finance fees[1]	-	(0.3)
Interest on bank loans	0.5	0.5
Interest on obligations under finance leases [1]	1.7	1.7
Finance costs (pre-IFRS 16[I]) - underlying	11.6	11.8
IFRS 16 adjustment[1]	209.5	204.8
Finance costs	221.1	216.6

(1) The total IFRS 16 notional interest charge on lease liabilities is £211.2m (2023: £206.5m). The IFRS 16 adjustment includes a £1.7m (2023: £1.7m) credit in respect of interest on finance leases reclassified.

ALTERNATIVE PERFORMANCE MEASURE (continued)

Balance Sheet Measures

Reference	APM	Definition
I	Pre-IFRS 16	The performance under accounting principles prior to the adoption of IFRS 16.

Onerous lease provisions
In reaching its adjusted EBITDA, the Company has provided for operating lease rentals where these were above the market rate, causing the hotel to be loss making or where we consider it improbable that trading profits will be generated, or where the Company has subsequently vacated the property and rental income is less than the rental expense, or where it is probable that a previously sublet unit will revert to the Company. The element of the rental which is above market, causing the hotel to be loss making or where we consider it improbable that trading profits will be generated, or above any rental cost paid relating to vacated properties is charged against the provision. Provisions are also made for business rates that the Company is liable to on empty sites and on hotels where it is considered improbable that trading profits will be generated. The key estimation judgement in determining the onerous amount is the period over the remaining lease term that the property will remain either rented or vacant. The Directors have estimated these periods after considering both the quality and the location of each of the units provided for. The cash flows are discounted at 4.7% (2023: 6.1%) which represents a risk-free and pre-tax rate based on 25 year government gilt and further adjusted for property risk. Since 2019, under IFRS 16 the onerous lease provisions relating to rent are reclassified to right of use assets, leaving only the provisions relating to rates.

Obligations under finance leases (pre-IFRS 16[1])
The Company has 4 properties (2023: 4 properties) which have been classified as finance leases (pre-IFRS 16) with a weighted average lease term remaining of 46 years (2023: 47 years) including landlord options to extend leases which haven't yet been exercised.

	2024	2023
	£m	£m
Amounts payable under finance leases:		
Due within one year	1.6	1.6
Due between two and five years	7.2	6.9
Due beyond five years	64.0	65.7
	72.8	74.2
Less future finance charges	(57.9)	(59.5)
Amounts due after settlement after 12 months (capital liability)	14.9	14.7

ALTERNATIVE PERFORMANCE MEASURE (continued)

Operating Lease Commitments pre-IFRS 16[1]

Total commitments under operating leases pre-IFRS 16[1]	2024	2023
	£m	£m
Due within one year	266.0	247.4
Due between two and five years	1064.0	997.4
Due beyond five years	2,890.1	2,820.1
Total	4,220.1	4,064.9
	Years	**Years**
Average lease term remaining	12.7	13.3

The leases are standard operating leases with normal commercial terms, typically 25 years (though a number of city centre and London properties have 35 year terms), subject to standard upward only rent reviews, with the majority based on RPI indices (though some with caps and collars, some at open market value and others based on CPI), with Company only renewal rights at the end of the lease. The figures above exclude landlord options to extend leases which have not yet been exercised (which are included in the lease liability under IFRS 16 per note 21).

Contractual undiscounted lease payments - maturity analysis

	2024 £m	2023 £m
Within one year	265.7	253.2
Greater than one year but less than five years	1,063.7	1,014.0
Greater than five years but less than ten years	1,320.9	1,288.2
Greater than ten years but less than fifteen years	1,229.6	1,223.1
Greater than fifteen years	1,763.3	1,875.8
Total undiscounted lease payments at year end	5,643.2	5,654.3

The figures above comprise both finance and operating leases and include landlord options to extend leases which have not yet been exercised (which are included in the lease liability under IFRS 16 per note 21).